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CHIEF INVESTMENT OFFICE

Capital Market Outlook

March 9, 2026

All data, projections and opinions are as of the date of this report and subject to change.

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Macro Strategy—*Markets Shaken, Not Stirred:* Despite a year marked by tariffs, geopolitical tensions, and less abundant liquidity conditions, the U.S. macro and earnings backdrop have remained positive, with risk assets broadly well supported. Federal Reserve (Fed) rate cuts, resilient household and corporate balance sheets, and strong Artificial Intelligence (AI)-related investment continue to support growth, while a softer dollar and improving global activity help broaden the industrial recovery. At the same time, inflation pressures may ease again, if energy prices remain in check and cooling Institute for Supply Management (ISM) services price indicators/strong productivity growth are any indication. However, with excess bank reserves drained and liquidity less abundant at the margin, markets may experience more volatility and greater performance dispersion despite continued economic expansion, as earnings and liquidity become more important drivers of asset prices.

Market View—*Staying the Course: Taking Stock of the Current Market Environment:* Amid the swirl of market uncertainty, we thought it would be a good time to level set and provide some answers to frequently asked questions in our inbox. First, has recent turmoil changed our constructive outlook for the markets this year? No—the economy remains on firm footing given resilient consumption, strong investment, and stimulative fiscal and monetary policy. We expect broader Equity performance to continue and favor adding exposure to Small-caps and Emerging Markets (EM). Second, how could recent events in the Middle East impact the U.S. economy and markets? The key is the length and breadth of the conflict. The U.S. isn't immune to higher global energy prices but is better positioned than most as a net energy exporter. Third, outside of geopolitics, what are other risks on our radar screen? We expect AI to be disruptive but fade apocalyptic narratives in favor of the belief that the AI revolution will create a more productive, innovation-led U.S. economy. Finally, in a world of heightened uncertainty, what are our high-conviction themes? Given AI innovation and geopolitical pressure points, think biotechnology and life sciences, grid and industrial infrastructure, aerospace and defense, and the ecosystem in and around the military-industrial complex (critical minerals, cybersecurity, semiconductors, etc.).

Thought of the Week—*More Signs of a Manufacturing Upcycle*. The manufacturing economy looks to be breaking out of its slump, with back-to-back expansionary manufacturing activity readings strengthening the case for an early upcycle rather than a one-off bounce. Signs of a more sustained manufacturing cycle are also showing up in Equity leadership, especially with Small-caps outperforming their larger counterpart. Historical patterns during manufacturing upcycles suggest this leadership could persist. Earnings breadth is also improving, following strong Q4 2025 earnings reports and amid expectations for broader earnings growth ahead. Overall, while geopolitical risks and temporary price spikes bear monitoring, they are emerging against a backdrop of improving industrial activity. If that momentum holds, it could further reinforce the recent broadening in equity market leadership into a more durable trend.

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We see equity market pullbacks driven by headline noise as potential opportunities, supported by improving growth, clearer interest-rate visibility, favorable dollar dynamics, strong earnings prospects, and limited impact from geopolitical risks. Diversification beyond U.S. mega-caps is increasingly important as market leadership broadens, with added exposure to Small-caps, EMs, and selective sector shifts, including our recent move to neutral on Materials and a slight underweight to Communication Services.

We remain constructive on Fixed Income but underweight it to fund Equities, expecting tariffs to have a marginal economic impact and yields to stay range-bound amid sticky inflation and gross domestic product (GDP) near or above 2%.

MACRO STRATEGY

Markets Shaken, Not Stirred

Chief Investment Office, Macro Strategy Team

U.S. equity markets have confronted a barrage of challenges over the past year, from higher tariffs to a military conflict involving Iran and other jolts in between. Yet despite bouts of volatility and risk aversion, benchmarks have broadly remained in an uptrend and near record highs into mid-March, as policy interventions and firm underlying fundamentals helped limit downside risks.

Major market dips typically occur when recession risks rise decisively, which has not been the case given the still-expansionary macro and earnings backdrop. For example, Fed rate cuts alongside elevated government spending have supported demand while workarounds softened the economic impact of tariffs, helping keep labor markets relatively stable. Growth drivers have broadened as booming AI-related capital spending and an inventory cycle support industrial production and corporate earnings. A roughly 10% depreciation in the trade-weighted dollar from its peak a year ago has improved export competitiveness, as reflected in strengthening manufacturing export orders in the February ISM survey.

Expansionary readings for the February ISM manufacturing survey's new orders and production components reinforce our constructive view of the Industrial sector. Given the sector's high multiplier effect on the broader economy, its rebound would provide meaningful support for ongoing expansion. Moreover, the February ISM services survey significantly surprised to the upside, with both activity and new orders strengthening. The manufacturing and non-manufacturing ISM composite index reached its highest level since 2022 and moved above its 25-year average for the first time in four years.

Globally, economic momentum also improved going into the Iran conflict. BofA Global Research's Global Wave indicator turned higher in February, amid firmer global industrial confidence, supportive credit conditions and a strengthening earnings-revisions ratio consistent with a broadening cyclical upturn. With strong earnings and Fed measures to stabilize bank reserves after the late-2025 liquidity squeeze, credit markets have continued to function normally overall. Real interest rates have also eased toward levels broadly consistent with continued growth and earnings expansion, helping equity benchmarks remain resilient despite widening performance dispersion across stocks, industries and sectors.

While incoming data, the policy backdrop and earnings expectations remain constructive, geopolitical and energy supply risks have clouded the outlook. By reducing spending power, higher gasoline prices tend to be growth-negative, while a sustained equity market decline caused by risk aversion could weigh on economic activity through negative wealth effects. For now, however, household and corporate balance sheets remain healthy in aggregate, and productivity gains have offset cost pressures, helping contain inflation (Exhibit 1A) and sustain consumer spending.

While growth and inflation have remained broadly favorable for risk assets, liquidity conditions have become somewhat less supportive as excess bank reserves have been drained by quantitative tightening (QT). Reserves have fallen notably since mid-2025, hovering near their lowest level since the pandemic over the past five months. Although the Fed doesn't have predetermined reserve requirements, post-2008 regulations have raised banks' structural demand for high-quality liquid assets, including reserves.[1] Thus, a shift from "abundant" to merely "ample" reserves since around October (Exhibit 1B) creates an environment of more cautious credit intermediation in the overnight market. This tends to reduce leverage and risk-taking at the margin, which can temper risk asset prices. Less liquidity reduces the market's shock absorption capacity, likely amplifying volatility around geopolitical conflicts and AI concerns. When liquidity becomes less abundant, investors may also be forced to raise cash to reduce risk exposures, potentially amplifying market volatility through technical rather than fundamental forces. Less abundant liquidity can tighten financial conditions, even if policy rates remain relatively low.

Demand for reserves fluctuates, however, so the same level of reserves may feel tight or comfortable at different times. For example, evidence of tightening liquidity conditions

Portfolio Considerations

Current environment consistent with maintaining a balanced exposure to Equities while emphasizing earnings resilience and long-term fundamentals. Cyclical and industrial sectors may continue to benefit from improving manufacturing activity and global growth, while strong cash-flow generators and companies with durable pricing power may provide stability if financial conditions tighten further.

[1] Stricter leverage ratios and capital requirements have also contributed to the surge in non-bank lending, especially by Private Credit funds.

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associated with heavy Treasury issuance, the government shutdown and related funding pressures in late 2025 prompted the Fed to end QT and begin reserve management purchases of roughly $40 billion/month in Treasury bills starting in mid-December to maintain an ample-reserves framework and stabilize funding markets.

Despite these purchases, reserves have remained near the lower end of their post-pandemic range—at around $2.9 trillion—as other factors simultaneously drained reserves (including increases in currency in circulation and flows into the Treasury General Account). Still, the Fed has been comfortable with this level of reserves, though not because that number is optimal but because market functioning has remained orderly once the Fed stabilized reserves and the late-2025 surge in liquidity demand subsided. The key test is thus not the absolute level of reserves but whether short-term funding markets function smoothly. Regulatory recalibration expected in April 2026 aims to increase banks' capacity to hold more Treasurys and intermediate funding markets, improving market liquidity at a given level of reserves.

As long as the financial plumbing remains functional and economic fundamentals stay firm, episodes of market volatility are more likely to create risk asset potential buying opportunities. Some indicators suggest tightening liquidity at the margin, though (Exhibit 1B), and the upcoming change in Fed leadership raises questions about the threshold for future Fed intervention as a lender of last resort. Chair-nominee Kevin Warsh has expressed a preference for a smaller central bank footprint, suggesting debate over the appropriate size of the Fed's balance sheet may intensify.

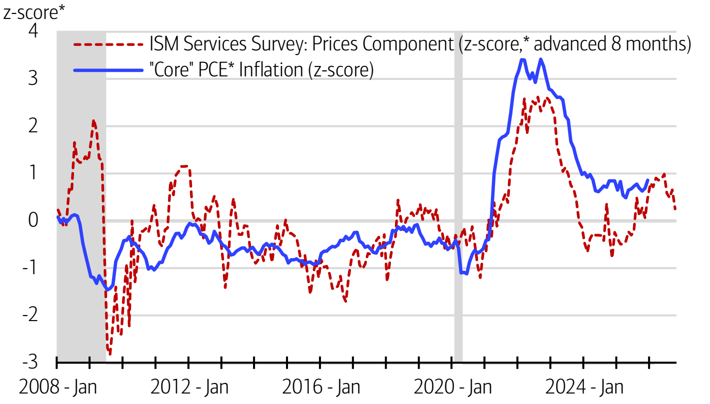
Indeed, a very large Fed balance sheet and abundant liquidity can ease financial conditions more than intended or optimal, potentially complicating inflation control. Therefore, the Fed aims to maintain ample reserves—enough for smooth market functioning and interest rate control—while avoiding an unnecessarily large balance sheet, especially with large fiscal deficits and concerns about Fed independence.

At the same time, balance sheet reduction must account for regulatory constraints and structural demand for reserves. Shrinking it too much, too soon could push the system toward reserve scarcity, unnecessarily tightening financial conditions and risking financial and economic disruptions. Shifting expectations about how well government debt will be absorbed by markets may help explain why long-term Treasury yields have remained relatively firm despite the Iran conflict.

Whether recent financial market jitters—such as somewhat wider credit spreads, firmer overnight lending rates, stagnating equity benchmarks, and higher volatility following the January 30, 2026, nomination of a new Fed Chair—have in part reflected anticipation of a more restrictive policy stance is unclear. Still, with heavy Treasury issuance, evolving central bank policy, and regulatory recalibration, liquidity conditions are likely to remain an important driver of market conditions and asset price returns.

Exhibit 1: Growth And Inflation Data Have Been Favorable For Risk Asset Performance, While Liquidity Conditions Have Tightened At The Margin.

A) Cooling ISM services price inflation suggests easing service sector inflation ahead, a positive for "core" inflation and continued expansion.



B) Higher market volatility and reduced risk-taking at the margin in part likely reflecting less abundant liquidity.

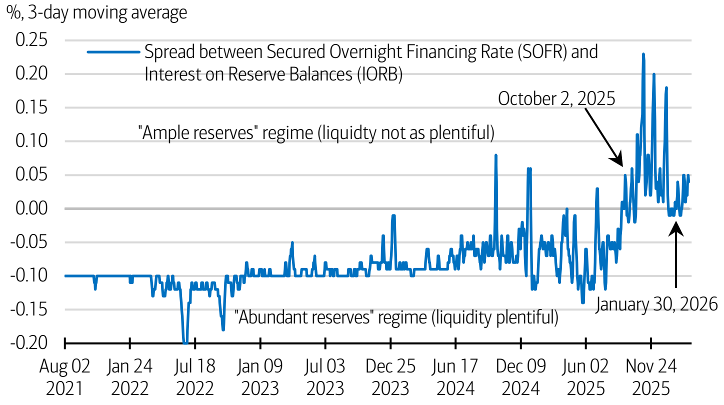


Exhibit 1A) *z-score = number of standard deviations from the average of a data set. **Personal Consumption Expenditures Source: ISM; Bureau of Economic Analysis/Haver Analytics. Data as of March 5, 2026. Exhibit 1B) Source: Federal Reserve Board/Haver Analytics. Data as of March 5, 2026.

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MARKET VIEW

Staying the Course: Taking Stock of the Current Market Environment

Joseph P. Quinlan, Managing Director and Head of CIO Market Strategy

Amid the swirl of market uncertainty, we thought it would be a good time to level set or take stock of the unsettled market climate. Below we provide some responses to frequently asked questions in our inbox.

Has recent turmoil changed our constructive outlook for the markets this year? No. Notwithstanding some stiff headwinds to the market and economy—geopolitics, Private Credit stress, tariff uncertainty and concerns over the disruptive effects of AI—the economy remains on firm footing. Our base case is that U.S. consumers keep consuming. Companies keep investing. A softer U.S. dollar-cum-acceleration in global growth supports U.S. exports and foreign earnings. Stimulative fiscal and monetary policies add more fuel to the fire. The upshot: S&P 500 earnings growth of 14% this year, following a solid rise of 13% last year.

But it's not all smooth sailing from here. It never is—markets and economies don't move linearly, but rather in fits and starts. Market volatility has increased along with the spike in oil prices—how long oil prices stay at current elevated levels will determine asset prices in the near-term.

Against this backdrop, diversification remains key. We believe the broadening performance across sectors, styles and regions will likely continue this year (Exhibit 2A). We remain overweight Financials, Utilities, Consumer Discretionary and Industrials. This month we upgraded Materials to neutral from slightly underweight and downgraded Communication Services to slightly underweight from neutral. We favor diversified exposure across the capitalization spectrum. Regionally speaking, EMs remain a high-conviction idea given strong aggregate earnings trends and should benefit from the eventual de-escalation in the Middle East given their net energy importer status. Finally, as we have repeated many times, we view periods of weakness in Equity markets, particularly those driven by a lot of headline noise, as potential opportunities to rebalance over and underexposures.

How could recent events in the Middle East impact the U.S. economy and markets? The effects—thus far—have been nominal and marginal. The key is the length and breadth of the conflict. The longer and broader the war, the greater the potential for elevated consumer prices, slower growth or stagflation, and more risk-off market momentum. That's not our base case, but one potential scenario we are watching carefully.

The first order effects were in the Energy sector. Since the conflict started, Brent crude prices have jumped by more than 27%. The U.S. is not immune to higher global energy prices, but as Exhibit 2B highlights, the U.S.—unlike Japan, China and Europe—is a net energy exporter. Net oil importers have experienced the most market downside since the conflict started. In the end, geopolitical events typically spark immediate or near-term market selloffs, before resetting and rebounding on fading concerns of lasting effects.

Outside of geopolitics, what are other risks on our radar screen? 2026 has hardly been boring. Geopolitics have collided with the Supreme Court's decision to reject the President's use of IEEPA[2] to impose tariffs; the failure of a small U.K. mortgage provider that stoked more worries over the financial health of Private Credit and potential for credit contagion; and the narrative that AI is about to eat everything in its path, leaving workers without work and companies as shells.

From our vantage point, AI poses a more persistent source of market anxiety than developments in the Middle East. But the doomsday narrative that has slammed industries ranging from information technology services to real estate management to consumer payment companies is overdone, in our opinion. The S&P 500 Software and Services industry group is now nearly 25% off its late-October high, while more traditionally cyclical, "old-economy" industries like metals and mining, machinery, freight and logistics, and chemicals have outperformed year-to-date. Like in prior technology cycles, we don't expect AI to disrupt industries equally, and identifying AI leaders and laggards will ultimately take time. Meanwhile, as far as potential disruption to the labor market goes, the question is not "if" but "how" and "when." So far, AI adoption has increased gradually

Portfolio Considerations

Against a backdrop of solid fundamentals, recent movement in Small-caps and EMs may be an opportunity to add exposure for investors who are underweight. Potential AI disruption calls for diversified exposure in portfolios across sectors, styles and regions, overlayed with high-conviction themes including biotechnology and life sciences, grid and industrial infrastructure, and the broader defense and military-industrial complex.

[2] International Emergency Economic Powers Act.

rather than exponentially (Exhibit 2C). How much AI will affect Private Credit given its sector tilt toward legacy software remains high on our radar screen.

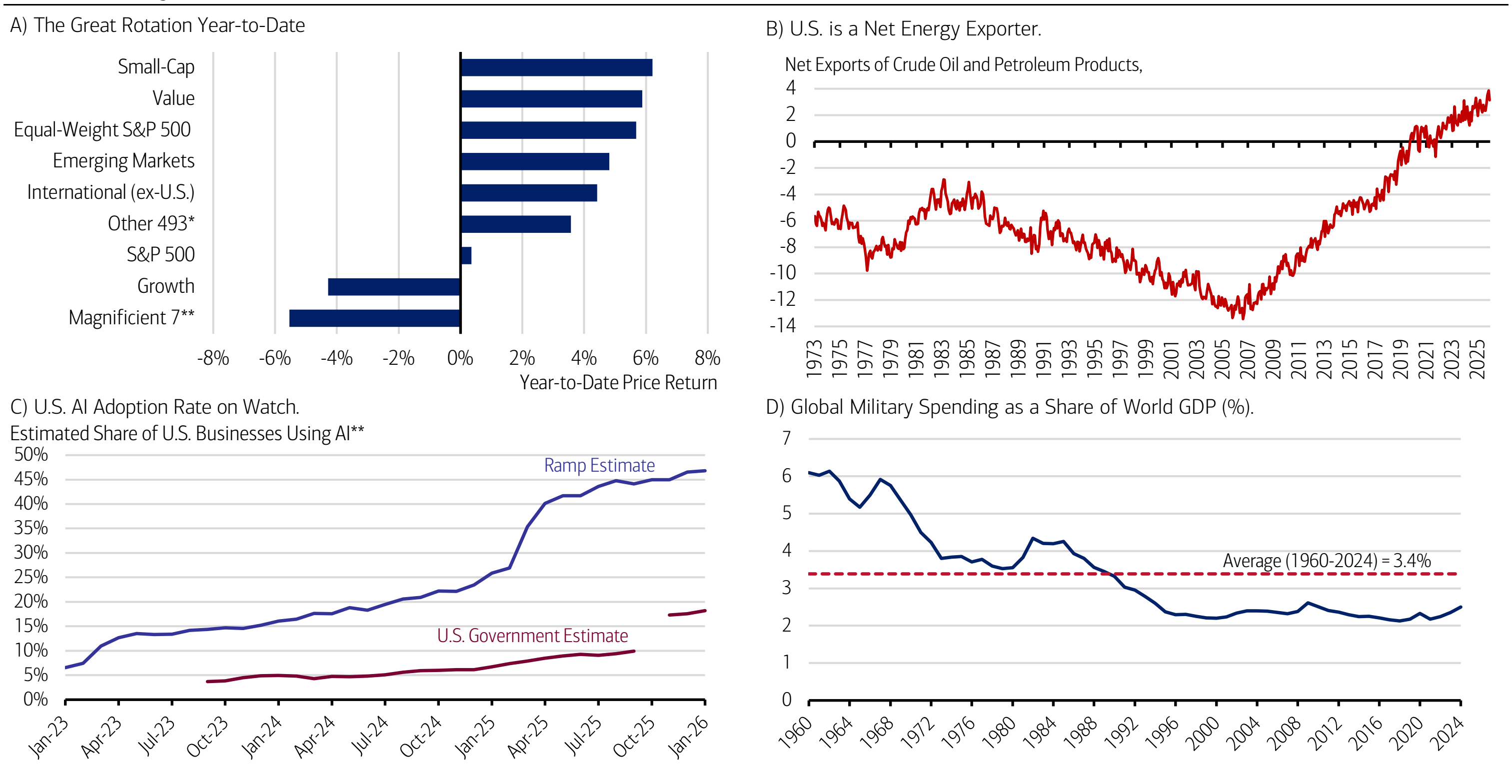
The bottom line: Investors should lean away from the apocalyptic narrative of AI laying waste to modern capitalism and rather lean towards the idea that over time, the AI revolution could result in a more productive and innovative-led U.S. economy that should generate elevated market returns. That is our base case.

In a world of heightened uncertainty, what are our high conviction themes? Thematic investing has never been more important given the tectonic shifts in the global economy—shifts that create potential opportunities for investors with an eye for the long term. Start with AI: We expect biotechnology and life sciences to be a major beneficiary of AI applications. Ditto for the buildout and modernization of the U.S. grid and industrial infrastructure. Water management, transportation, financial services and retail should benefit from the productivity-enhancing effects of AI as well.

And in a world fraught with geopolitical pressure points—where might makes right and geographic boundaries seem more fungible—we continue to expect aerospace and defense to be among the largest receivers of investment capital in the years ahead. Among our high-conviction themes: defense and the entire ecosystem in and around a military-industrial complex. Think rising demand for critical minerals and strategic metals (key inputs to defense technology), the broader supply chain (modern ammunition, cybersecurity, grid security, etc.) and technology (semiconductors, sensors, etc.) which are positioned to benefit after decades of underinvestment.

And speaking of underinvesting, as Exhibit 2D highlights, notwithstanding all the geostrategic pressures points of today, global military spending as a percentage of global GDP remains historically low. In 2024, global defense outlays as a percent of world GDP were just 2.5%, below the long-term annual average of 3.4%. We expect this gap to narrow in the years ahead.

Exhibit 2: Key Charts on Our Radar Screen.



*Other 493 is the S&P 500 minus the Magnificent 7. **Apple, Amazon, Alphabet, Nvidia, Meta, Microsoft, and Tesla. Exhibit 2A) Indexes referenced: Russell 2000 Index (Small-Cap); Russell 1000 Value Index (Value); MSCI EM Index (Emerging Markets); MSCI ACWI ex-U.S. Index (International); Russell 1000 Growth (Growth). Source: Bloomberg. Data as of March 5, 2026. Exhibit 2B) Source: Energy Information Administration. Data as of March 2, 2026. Exhibit 2C) **Ramp estimate reflects share of U.S. businesses with paid subscriptions to AI models, platforms and tools. U.S. government estimate reflects share of businesses using AI in the last two weeks. Note: Beginning in late 2025, the Census Bureau adjusted its survey to capture utilization of AI in "any business function" rather than "in producing goods and services." Source: Ramp AI Index, U.S. Census Bureau. Data as of March 2026. Exhibit 2D) Source: The Stockholm International Peace Research Institute (SIPRI). Data through 2024, as of March 2026. **Past performance is no guarantee of future results**. Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

THOUGHT OF THE WEEK

More Signs of a Manufacturing Upcycle

Kirsten Cabacungan, Vice President and Investment Strategist

The manufacturing economy looks to be breaking out of its slump, and that turn could give real staying power to the equity market broadening trend. U.S. factory activity expanded for the second straight month in February, with the ISM manufacturing purchasing managers' index (PMI) rising above 50 for only the third time in 40 months and marking the first back-to-back expansionary readings since September 2022. The unexpected jump in January had raised questions about whether the improvement was merely a one-off, but February's print, slightly lower yet still signaling growth, strengthens the case that this could be the early stage of a manufacturing upcycle.

Importantly, demand side components helped drive the recent improvement. New orders and production remained firmly in growth territory, while rising order backlogs and persistently low customer inventories continue to point to future production needs, reinforcing supportive underlying demand dynamics. This strengthening in the ISM also aligns with a broader turn higher across other manufacturing surveys since last summer.

Signs of a more sustained manufacturing cycle are also showing up in Equity leadership. Small-caps have dominated this year, with the Russell 2000 Index outperforming the S&P 500 by roughly three percentage points year-to-date, after lagging for much of the past several years, and a rising share of index constituents trading above their 200-day moving averages (Exhibit 3A). The absence of a manufacturing recovery had been a key risk for the size segment, given its sensitivity to domestic demand and ISM's strong historical correlation with Small- versus Large-cap relative performance. Historically, the Russell 2000 has been up a median 14% in the 12 months after the ISM first crossed above 50—most of it in the initial six months—and has outperformed Large-caps 70% of the time over the next six- and 12-month periods, according to BofA Global Research.

Breadth is also proving fundamental, not just technical. Q4 S&P 500 earnings rose 14% year-over-year, marking the fifth straight quarter of double-digit growth and a solid 7% beat. All sectors except Consumer Discretionary delivered positive earnings growth. While mega-cap technology stocks continued to lead, the earnings growth gap with the rest of the index is expected to narrow in 2026 as manufacturing upcycles tend to translate into broader earnings momentum. Early signs of a wider earnings contribution are already visible, with upward versus downward earnings revisions improving meaningfully from depressed levels last year (Exhibit 3B).

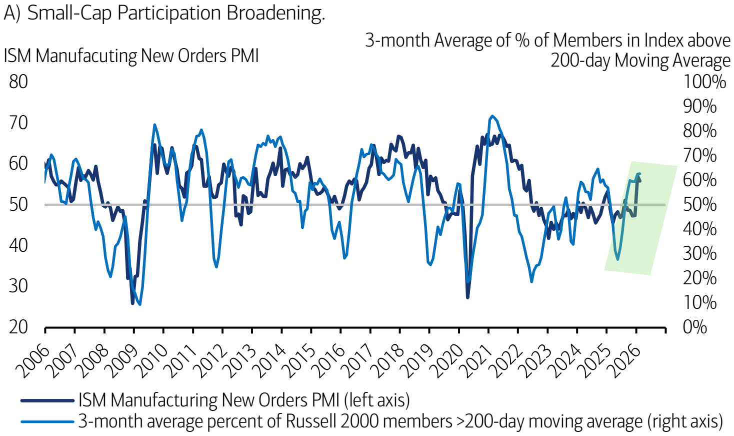
Easier monetary policy and a strong fiscal impulse should help underpin economic momentum ahead. While geopolitical risks bear monitoring, they are emerging against a backdrop of improving industrial activity. If that momentum holds, it could further reinforce the recent broadening in equity market leadership into a more durable trend.

Portfolio Considerations

As the manufacturing cycle turns up and market breadth expands, portfolios concentrated in mega-caps may benefit from diversifying across and within Equities, including increasing exposure to Small-caps and emerging cyclical leadership. We would leverage market weaknesses and excessive strength to rebalance tactical exposures in the coming months.

Exhibit 3: A Manufacturing Rebound Should Help Support Wider Market Breadth And Earnings Momentum.

A) Small-Cap Participation Broadening.



B) Net Earnings Revisions Trend Improving.

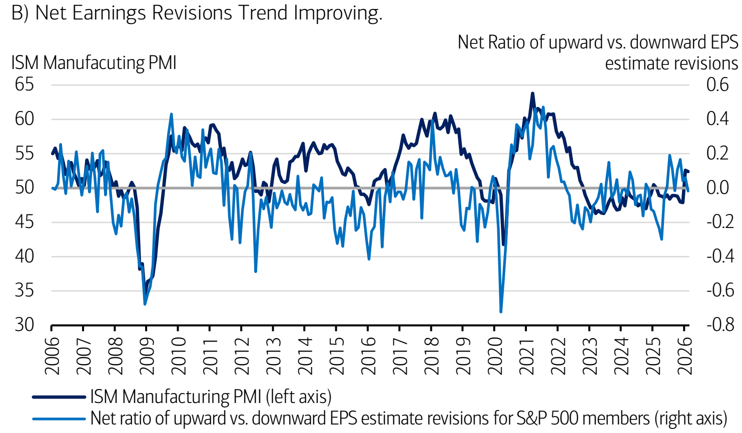


Exhibit 3A) Green shading represents an improving trend. Sources: Institute for Supply Management; Bloomberg. Data as of March 4, 2026. Exhibit 3B) Sources: ISM; Bloomberg. Data as of March 4, 2026. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

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MARKETS IN REVIEW

Asset Class Weightings (as of 3/4/2026)

Asset Class	Underweight (CIO View)		Neutral (CIO View)	Overweight (CIO View)	
Global Equities				●	
U.S. Large-cap Growth				●	
U.S. Large-cap Value				●	
U.S. Small-cap Growth				●	
U.S. Small-cap Value				●	
International Developed		●			
Emerging Markets				●	
Global Fixed Income		●			
U.S. Governments		●			
U.S. Mortgages		●			
U.S. Corporates		●			
International Fixed Income		●			
High Yield		●			
U.S. Investment-grade Tax Exempt		●			
U.S. High Yield Tax Exempt		●			
Alternative Investments*					
Hedge Strategies			●		
Private Equity			●		
Private Credit			●		
Real Assets			●		
Cash					

CIO Equity Sector Views

Sector	Underweight (CIO View)		Neutral (CIO View)	Overweight (CIO View)	
Financials					●
Utilities				●	
Consumer Discretionary				●	
Industrials				●	
Information Technology			●		
Healthcare			●		
Materials		▶	●		
Real Estate		●			
Consumer Staples		●			
Communication Services		●	◀		
Energy	●				

*Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of March 4, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

Economic Forecasts (as of 3/6/2026)

	Q4 2025A	2025A	Q1 2026E	Q2 2026E	Q3 2026E	Q4 2026E	2026E
Real global GDP (% y/y annualized)	-	3.5*	-	-	-	-	3.6
Real U.S. GDP (% q/q annualized)	1.4	2.2*	3.3	3.0	2.0	2.0	2.8
CPI inflation (% y/y)	2.7	2.7*	2.7	3.1	2.8	2.7	2.8
Core CPI inflation (% y/y)	2.7	2.9*	2.6	2.8	2.6	2.7	2.7
Unemployment rate (%)	4.5	4.3*	4.5	4.5	4.4	4.3	4.4
Fed funds rate, end period (%)	3.63	3.63	3.63	3.38	3.13	3.13	3.13

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.**

A = Actual. E/* = Estimate. Data as of March 6, 2026.

Sources: BofA Global Research; GWIM ISC as of March 6, 2026.

Equities

	Total Return in USD (%)			
	Current	WTD	MTD	YTD
DJIA	47,501.55	-2.9	-2.9	-0.9
NASDAQ	22,387.68	-1.2	-1.2	-3.6
S&P 500	6,740.02	-2.0	-2.0	-1.3
S&P 400 Mid Cap	3,410.32	-4.6	-4.6	3.4
Russell 2000	2,525.30	-4.0	-4.0	1.9
MSCI World	4,407.04	-3.3	-3.3	-0.4
MSCI EAFE	2,964.26	-6.7	-6.7	2.7
MSCI Emerging Markets	1,499.72	-6.9	-6.9	6.9

Commodities & Currencies

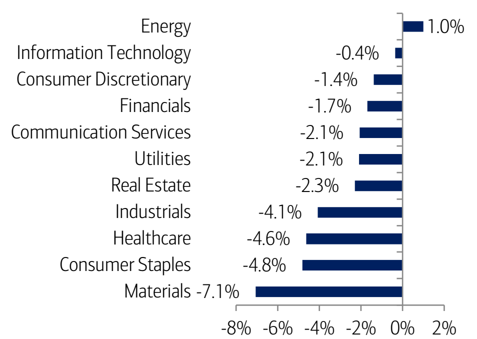
	Total Return in USD (%)			
Commodities	Current	WTD	MTD	YTD
Bloomberg Commodity	333.30	8.1	8.1	20.7
WTI Crude $/Barrel††	90.90	35.6	35.6	58.3
Gold Spot $/Ounce††	5171.74	-2.0	-2.0	19.7

	Total Return in USD (%)			
Currencies	Current	Prior Week End	Prior Month End	2024 Year End
EUR/USD	1.16	1.18	1.18	1.17
USD/JPY	157.78	156.05	156.05	156.71
USD/CNH	6.90	6.86	6.86	6.98

Fixed Income†

	Total Return in USD (%)			
	Current	WTD	MTD	YTD
Corporate & Government	4.27	-0.95	-0.95	0.67
Agencies	4.00	-0.53	-0.53	0.69
Municipals	3.44	-0.77	-0.77	1.41
U.S. Investment-Grade Credit	4.36	-0.96	-0.96	0.77
International	4.90	-0.95	-0.95	0.51
High Yield	6.95	-0.44	-0.44	0.26
90 Day Yield	3.66	3.66	3.66	3.63
2 Year Yield	3.56	3.37	3.37	3.47
10 Year Yield	4.14	3.94	3.94	4.17
30 Year Yield	4.76	4.61	4.61	4.84

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 3/2/2026 to 3/6/2026. †Bloomberg Barclays Indices. ††Spot price returns. All data as of the 3/6/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

Institute for Supply Management Manufacturing and Non-manufacturing Composite Index measures the economic condition and performance of manufacturing- and service-based companies

Small-caps/ Russell 2000 Index is a premier stock market benchmark that tracks the performance of approximately 2,000 small-cap U.S. companies, acting as a key indicator of the domestic economy.

Value/Russell 1000 Value Index measures the performance of the large-cap segment of the US equity universe.

Emerging Markets/MSCI Emerging Markets Index is a benchmark index designed to measure the equity market performance of large and mid-cap companies across 24-27 developing economies.

International/MSCI All-Country World Index ex-U.S. captures large and mid cap representation across 22 of 23 Developed Markets (DM) countries (excluding the US) and 24 Emerging Markets.

Growth/Russell 1000 Growth Index measures the performance of the large- cap growth segment of the US equity universe.

Ramp AI Index measures the adoption rate of artificial intelligence products and services among American businesses.

Institute for Supply Management Manufacturing Purchasing Managers' Index is based on monthly surveys of carefully selected companies representing major and developing economies worldwide.

Institute for Supply Management Manufacturing PMI New Orders Index shows the number of new orders from customers of manufacturing firms reported by survey respondents compared to the previous month.

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CHIEF INVESTMENT OFFICE

Capital Market Outlook

March 2, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—*Beyond Goods—The Expected Boom in China's Knowledge-Intensive Exports:* China's trade is shifting from goods toward high-value, knowledge-intensive services such as information and communication technology (ICT), research & development (R&D), and Artificial Intelligence (AI), a transition that supports a positive outlook for China's technology leaders.

Market View—*In Times of Uncertainty, Choose Fundamentals Over Fear:* Despite negative headlines and elevated uncertainty, market and economic fundamentals remain strong, countering fears around market breadth, tariffs, consumer health, and foreign investment. The key takeaway is to prioritize fundamentals over fear when navigating volatile markets.

Thought of the Week—*The Sentiment-Spending Disconnect*: Despite weak consumer sentiment, resilient spending, supportive hard data, and expected 2026 tailwinds point to a more constructive consumer and Equity outlook than surveys alone suggest.

From the CIO—*Market Update: A Snapshot of Middle East Uncertainties and Market Effects*: The aftershocks from the war in the Middle East will dictate price movements for multi-assets in the near-term. The duration of the conflict, and how broad, are key factors to monitor. Per the accompanying table, geopolitical events are headline-grabbing but not market-moving over the medium-term. We continue to emphasize the highest level of diversification in portfolios.

Major geopolitical events and subsequent S&P 500 price returns.

Event	Date	1 day	1-month	3-month	6-month	12-month
Cuban Missile Crisis	16-Oct-62	-0.3%	5.4%	13.3%	21.1%	27.8%
JFK Assassination	22-Nov-63	4.0%	6.7%	11.5%	16.0%	23.9%
Six-Day War	5-Jun-67	2.0%	3.3%	6.5%	7.7%	13.0%
Bretton Woods Collapse	15-Aug-71	3.2%	4.6%	-3.7%	9.8%	17.0%
Arab Oil Embargo	19-Oct-73	-1.0%	-8.6%	-13.3%	-14.9%	-34.4%
Iranian Shah Overthrown	11-Feb-79	0.3%	1.7%	1.6%	7.8%	20.5%
Fall of Berlin Wall	9-Nov-89	0.8%	3.6%	-0.9%	1.9%	-6.8%
Start of Gulf War	17-Jan-91	1.3%	12.5%	19.1%	16.2%	27.7%
9/11 Terrorist Attacks	11-Sep-01	-4.9%	-1.1%	4.3%	6.6%	-16.7%
Fukushima Nuclear Disaster	11-Mar-11	-0.6%	1.5%	-2.6%	-11.5%	5.1%
Russia Annexes Crimea	20-Feb-14	-0.2%	1.8%	1.8%	8.0%	14.7%
Brexit Vote	23-Jun-16	-3.6%	2.9%	2.4%	7.1%	15.4%
Russia-Ukraine Conflict	24-Feb-22	2.2%	5.4%	-8.1%	-3.4%	-7.4%
Israel-Hamas War	7-Oct-23	0.6%	1.3%	9.0%	20.8%	33.5%
12-Day War	13-Jun-25	0.9%	4.7%	10.2%	14.2%	--
Average		*0.3%*	*3.1%*	*3.4%*	*7.2%*	*9.5%*

Source: Bloomberg. Data as of March 1, 2026. If the market was closed on the event date, the date of the previous market close was referenced. The one-day return for the 9/11 attacks after reopening of the market was on 9/17/2001. The one-day return for the JFK assassination after the reopening of the market was on 11/26/1963. **FOR INFORMATIONAL PURPOSES ONLY**. Indexes are unmanaged and do not take into account fees or expenses. **Past performance is no guarantee of future results.** Please refer to important disclosures at the end of this report.

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Portfolio Considerations

With new highs expected for Equities ahead, investors should consider portfolio adjustments such as increasing exposure to Small-caps and Emerging Markets as well as diversified sector exposures where underweight, leveraging Fixed Income as a ballast while maintaining an Equity overweight, and adding to growth themes and Alternative Assets, for qualified investors, where appropriate.

We are constructive on Fixed Income overall but underweight in order to fund our Equity overweight. We continue to project range-bound yields given sticky inflation and real gross domestic product remaining near or above 2% for the next few years. However, we recognize potentially high volatility in either direction, especially given the expected change in Federal Reserve leadership later this year.

MACRO STRATEGY

Beyond Goods—The Expected Boom in China's Knowledge-Intensive Exports

Joseph P. Quinlan, Managing Director and Head of CIO Market Strategy

Ariana Chiu, Assistant Vice President and Investment Strategist

No nation in the world exports as much merchandise as China. But having conquered global trade in goods, China is now rapidly moving up the global ranks as a leading exporter of knowledge-intensive services. This dynamic is one more reason why we remain constructive on China technology leaders for the long run. As we continue to emphasize to investors, the global race for technological supremacy is a two-horse race—between the U.S. and China. In terms of portfolio construction, own both—or technology leaders in the U.S. and China.

China's new trade paradigm rests on rising exports of services like ICT, construction management, engineering services, data analytics, R&D, and, to a lesser degree, financial services and intellectual property rights. Add up these services, and China already ranks as the world's sixth-largest exporter, up from 12th place in 2005 (Exhibit 1A).

The country now earns more from exports of ICT services ($100 billion in 2024) than traditional export staples like toys ($82 billion) and footwear ($51 billion). Exports of "other business services"—a combination of consulting services, R&D, and technical-related activities—totaled $113 billion in 2024, well ahead of exports of iron and steel ($71 billion) and apparel ($85 billion). And construction service exports in 2024 ($34 billion) were greater than exports of glassware ($25.5 billion) and pharmaceutical products ($12 billion), as depicted in Exhibit 1B.

Service exports like construction have soared due in large part to China's "One Belt, One Road" initiative. Since the program was announced in 2013, construction service exports have tripled, rising from $10.7 billion in 2013 to $33.6 billion in 2024. By ploughing billions of dollars into infrastructure projects around the world, China's mega-development strategy has not only supercharged China's exports of steel, cement, heavy equipment and other goods needed to build ports, highways, power plants and railways. It has also boosted service exports required to keep the ports, railways and power plants humming—think operations management contracts, digital monitoring systems, technical training, maintenance agreements, software upgrades, cloud computing capabilities and related service activities.

Similarly, when China's leading telecommunication leaders install a 4G or 5G network in Pakistan, or a China's technology giant builds a data center in Brazil, it's not one and done. What typically follows are multiyear-managed-service agreements that include software updates, technical support, network maintenance and related activities that lock in the business for years—and drive growth in services trade. Indeed, export services of telecommunication, computer and information services have quadrupled just in the past decade, rising from 2015 ($25.8 billion) to $100 billion in 2024.

In addition, as China has moved up the value-added curve in exports of electrical vehicles, robots, drones, solar panels, and wind turbines, the expansion in knowledge-intensive service exports have followed. Each one of these products are highly digitalized and are accompanied with an array of recurring service requirements that only strengthens and fortifies China's competitive position in various markets around the world.

Trade in hardware (goods) has led to more trade in software (services)—one pulls the other. In reality, this means that the export of electrical vehicles comes with software upgrades; the export of robots and drones comes with the export of cloud connectivity services and remote monitoring systems; and the export of solar panels and wind turbines comes with the exports of technical services and maintenance.

Services increasingly account for a rising value of China's manufacturing exports. This represents a new front in China's trade with the world—but it doesn't end there.

Enter AI and China's advances in open-source AI. More affordable and accessible to end users, DeepSeek's large language models (LLM) and other iterations from China are gaining traction around the world, notably in Africa, Russia, the Middle East and other emerging markets. Indeed, the number of cumulative global downloads of China's open-sourced AI models surpassed those of the U.S. last September, with the gap only widening since then (Exhibit 1C).

Portfolio Considerations

As China expands its knowledge-intensive exports and competes with the U.S.' AI capabilities, portfolios have the potential to benefit from being exposed to technology leaders both in the U.S. and in China. We remain overweight Emerging Markets (EM) which are heavily levered to technology companies in Asian markets.

And as an aside, open-source LLMs from China are not are not just surging in popularity in the emerging markets. They are also gaining popularity and adoption in the U.S. Cost-effective, high performing, and frequently updated—owing to these factors, 80% of U.S. AI startups rely on China's open-source models instead of U.S. models.[1] Rising AI adoption rates of China models means more AI-enabling activities and more demand for China's knowledge-intensive exports including ICT services, real-time data processing, predictive maintenance data analytics, systems integration and smart infrastructure management.

Given all the above, China's trade in knowledge-intensive services has swung from a perennial deficit over much of this century to a surplus beginning around 2015 (Exhibit 1D). The surplus in trade in "other services" topped $80 billion in 2024—and putting that number into perspective; when it comes to running a trade surplus in "other services" or construction and knowledge-intensive trade, China now ranks fourth in the world, trailing only the U.S., the U.K. and India. Within the category of "other services," construction trade posted a surplus of $25 billion in 2024; the trade surplus in ICT was a record $60 billion; and the surplus in "other business services" including R&D totaled $48 billion—also a record high.

More broadly, and for some context, China's total service exports remain second fiddle to China's trade in goods. In 2024, total service exports accounted for just 12.5% of goods exports in 2024. In addition, China still runs an overall deficit in total services owing to a large deficit in travel (visitors from China spending more overseas than foreign visitors spending in China) and a deficit in education receipts. It also runs a deficit in intellectual property royalites since the nation remains a net importer of intellectual property.

However, investors should see the big picture, which is this: China's trade has entered a new phase—think not only high-end goods like electrical vehicles, robots and drones but also construction services and knowledge-intensive services exports that range from telecommunication platforms to AI-embedded capabilities. Against this backdrop, we remain constructive on China technology.

Exhibit 1: China's New Trade Paradigm Rests on Services Exports.

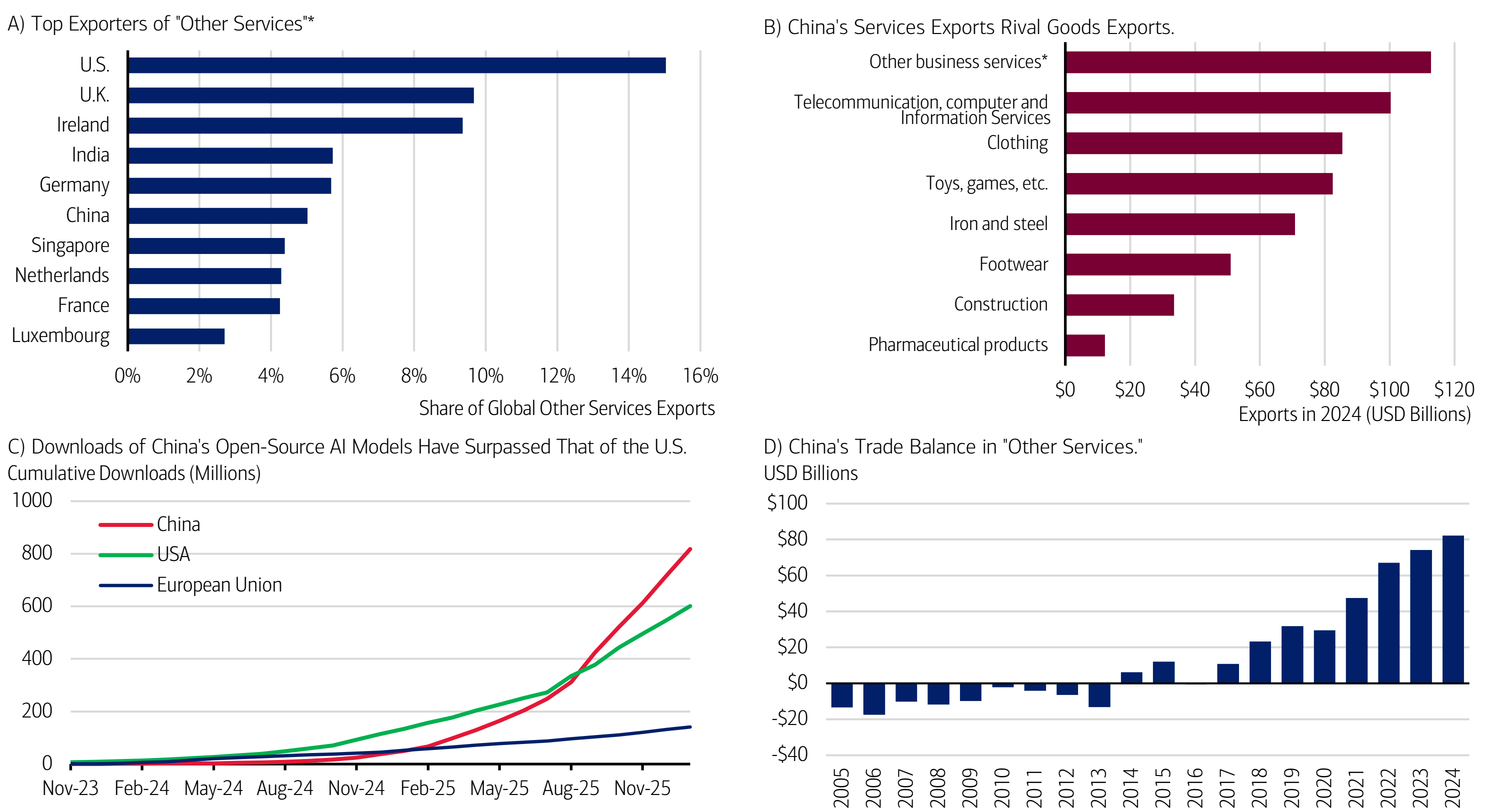


Exhibit 1A) *Includes construction, insurance and pension services, financial services, charges for use of intellectual property, telecommunication/computer/information services, other business services, recreational services, and government goods and services. Source: World Trade Organization (WTO). Data as of February 2026. Exhibit 1B) *Includes R&D, consulting services, and trade and technical-related services. Source: WTO; International Trade Centre. Data as of February 2026. Exhibit 1C) Source: The ATOM Project, Hugging Face. Data as of February 24, 2026. Exhibit 1D) Source: WTO. Data as of February 2026.

[1] "80% of AI start-ups applying for VC funding with Andreessen Horowitz are using Chinese Open-source AI.", European Central Station, 2025.

In Times of Uncertainty, Choose Fundamentals Over Fear

Ariana Chiu, Assistant Vice President and Investment Strategist

In today's attention economy, it's easy to get distracted by the nonstop stream of (usually negative) headlines. But as investors, and especially in times of heightened uncertainty, it's important to remember that underlying fundamentals ultimately drive the economy and markets. While risks certainly remain, there's a lot to like about what's taking place in the global economy and markets. Fundamentals are still largely intact—a fact that doesn't tend to go viral or make front-page news. Below we address some common current fears and why fundamentals suggest otherwise.

On fear that this bull market is too narrow to last… Concerns surrounding U.S. equity market concentration and the return on AI investment (or lack thereof) continue to swirl. As recent volatility suggests, AI now has a long list of fears attached to it, ranging from the belief that agentic AI will lead to mass white collar unemployment and a global recession to the fear that limited AI adoption will end in massive overinvestment and abandoned data centers.

The wall of worry is high, and yet the average stock in the S&P 500 has fared surprisingly well over the last few months. So far in 2026, the equal-weighted S&P 500 has outperformed its market cap-weighted counterpart by the widest margin since 1992,[2] a stark departure from three consecutive years of ultra-narrow performance (Exhibit 2A). Breadth is at record levels, as Exhibit 2B highlights, with more than 320 companies in the S&P 500 outperforming the broader index year-to-date (including none of the Magnificent 7[3]). Strength from areas of the market outside of technology have pulled their weight since last November—hence an S&P 500 just 1% to 2% off an all-time high despite industries like software in bear market territory. Internals still look good for the broader index, with 68% of stocks above their 200-day moving average. All of this is good news for the sustainability of this bull market.

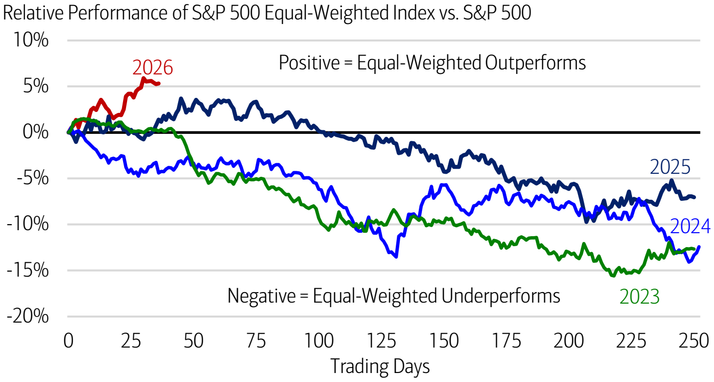
Portfolio Considerations

With U.S. Equities churning under the surface, we urge investors to take advantage of broadening fundamentals in portfolios, increasing exposure to areas like Small-caps and EMs for those who are underweight and maintaining diversified exposure to Value and Growth. Demand for U.S. securities should remain robust this year, and a gradual weakening rather than disorderly downfall of the dollar is likely.

Exhibit 2: The Broadening is Finally Here.

A) 2026: Year of the Average Stock?

Relative Performance of S&P 500 Equal-Weighted Index vs. S&P 500



B) Record Breadth After 3 Years of Ultra-Narrow Performance.

Number of Constituents Outperforming Broader S&P 500

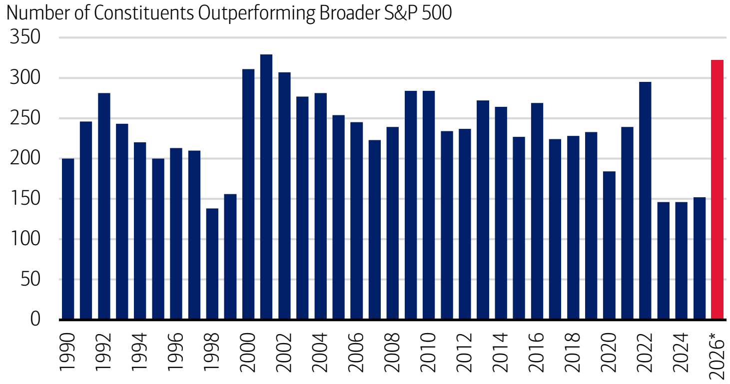


Exhibit 2A) Source: Bloomberg. Data as of February 24, 2026. Exhibit 2B) *Year-to-date. Source: Bloomberg. Data as of February 24, 2026. **Past performance is no guarantee of future results**. Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

On fear that renewed tariff uncertainty will cripple corporate America… With the Supreme Court's decision on February 20, IEEPA tariffs have been replaced with Section 122 tariffs for the next 150 days. While lower tariffs for countries like China and Brazil are good news in the near term for many companies, it's clear that tariff uncertainty will continue to be a feature of 2026. Alternative authorities to the International Emergency Economic Powers Act are likely to keep the effective tariff rate well above where it averaged prior to 2025 (around 2.2% over the prior 10 years[4]). Meanwhile, lengthy sector- and country-specific investigations will make tariff implementation more cumbersome.

With that said, it shouldn't be lost on investors that corporate America managed record profit margins and earnings growth through the Liberation Day (April 2) shakeout. Q4

[2] Refers to the first 36 trading days of the year. Bloomberg. Data as of February 24, 2026.

[3] Apple, Amazon, Alphabet, Nvidia, Meta, Microsoft, and Tesla

[4] U.S. International Trade Commission.

earnings growth for the S&P 500 is tracking at 14% year-over-year (YoY), marking the fifth straight quarter of double-digit earnings growth or its longest such streak since 2018. Well-diversified investors are also benefitting from a broadening in profits not only across sectors but also along the cap spectrum and to the rest of the world. Hence our preference in portfolios for Small-caps, EMs, and a balance of Value and Growth.

On fear that household balance sheets, particularly among lower-income consumers, are deteriorating... It's no secret that spending in the U.S. has been increasingly top-heavy, not only by income but also by education and age. Spending of college graduates has grown about 2.4% faster than that of nongraduates since 2023.[5] Meanwhile, those aged 55 and older now account for some 45% of overall U.S. consumption, up from less than 30% at the start of the century.[6] It's hardly an even playing field out there.

However, data from the Federal Reserve continues to suggest balance sheets are strong—not just in aggregate or among wealthier households but across income cohorts. To wit, debt as a share of household net worth among the bottom 20% of households by income currently stands at 16.1%, having gradually declined from 20% at the start of the decade and technically now at the lowest level since 1999. A similar pattern can be observed across income quintiles. In other words, though higher prices have weighed on lower-income households and while delinquency rates bear watching, consumer balance sheets across the income spectrum are still in historically solid shape.

And finally, on fear that foreign investors are bailing on the U.S.... Like in 2025, the narrative that foreign investors are abandoning U.S. assets on macro/geopolitical developments has gripped headlines this year. Yet there has been little evidence of this in the latest data from the Treasury Department, which showed that foreign investors purchased a record net $1.55 trillion of long-term U.S. financial assets in 2025—a stunning 31% increase from $1.18 trillion in 2024 (Exhibit 3A). Included were $720 billion of net equity purchases and $409 billion in Treasury notes and bonds. Foreign demand has proven strong to start the year too; 19% of January's note and bond auctions were allotted to foreign accounts, the highest share in three years.[7]

Indeed, the "sell America" trade has been more bark than bite. The decline in the dollar, now 8% below where it entered 2025 on a real trade-weighted basis, has primarily reflected foreign investors from Asia and Europe hedging their dollar exposure after a decade of robust U.S. returns. So far this year, the greenback has declined more than 1% in trade-weighted terms but remains overvalued (Exhibit 3B). We expect the dollar to strengthen in the near-term given conflict in the Middle East before resuming a slightly weaker path. Don't buy into the fear that foreigners have given up on U.S. assets.

Exhibit 3: Fade the Foreign Buyer Strike.

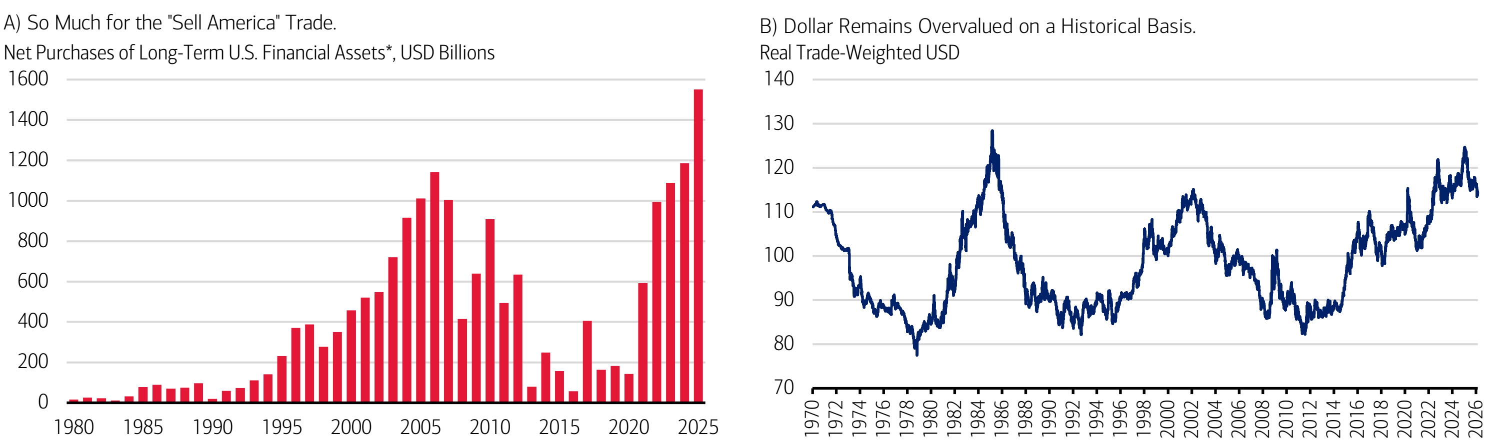


Exhibit 3A) *Includes Equities, Treasurys, Agencies, and Corporates. Source: U.S. Treasury. Data as of February 24, 2026. Exhibit 3B) Source: Bloomberg, Federal Reserve. Data as of February 24, 2026.

[5] Federal Reserve Bank of New York. Data through December 2025 as of February 3, 2026.

[6] Moody's Analytics. Q3 2025 data as of February 24, 2026.

[7] U.S. Treasury. Data as of February 24, 2026.

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THOUGHT OF THE WEEK

The Sentiment-Spending Disconnect

Theadora Lamprecht, Assistant Vice President and Investment Strategist

The U.S. consumer backdrop is increasingly defined by a divergence between 'soft' data and 'hard' data: sentiment remains subdued, while spending continues to prove more resilient than expected.

Sentiment is cautious but may be nearing an inflection point for markets. Survey-based measures, such as the Conference Board Consumer Confidence Index and University of Michigan Consumer Sentiment Index, remain below pre-pandemic levels, reflecting persistent concerns about affordability. Households may be employed and earning but remain uneasy about real purchasing power.

Even so, there are emerging bright spots. The Conference Board's February reading came in above expectations at 91.2, up from the prior month's upwardly revised 89.0. Labor market perceptions remain constructive: a greater number of participants said that jobs were "plentiful" (28%) compared to "hard to get" (21%). For investors, periods of depressed sentiment have historically created favorable entry points for Equities. Across the past seven major peaks and troughs in the University of Michigan Index, average 12-month forward S&P 500 returns following a sentiment peak were roughly 4.3%, compared with a whopping 25.0% following a trough. In other words, when consumer confidence reaches extreme lows, subsequent equity market performance has tended to be meaningfully stronger (Exhibit 4).

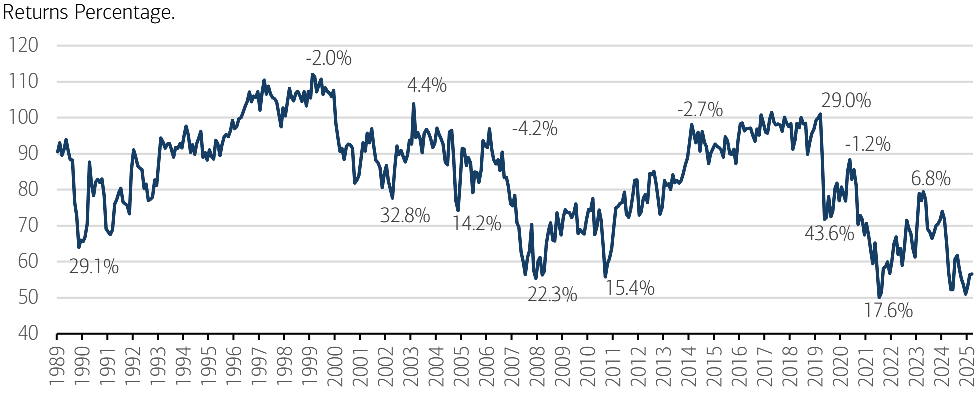
Spending remains strong. According to the Bureau of Economic Analysis, personal consumption expenditures continue to expand, with services spending providing notable support. Internal Bank of America Institute data tells a similar story: Total credit/debit card spending per household increased 2.6% YoY in January, the largest increase since February 2024. Additionally, consumption remains the largest contributor to GDP growth.

Positive after-tax wage growth and wealth effects have sustained higher-income discretionary spending. Wage growth dispersion between higher- and lower-income cohorts hasn't widened further from last fall's peak, and despite some uptick in credit-card delinquencies, median checking/savings balances remain above inflation-adjusted 2019 levels. Also, tax refunds are expected to be 26% higher compared to 2025, with over 36% of consumers[8] using refunds to pay down debts. This should shore up the consumer balance sheet and boost spending.

Looking ahead: The consumer outlook may prove more constructive than sentiment alone suggests. Historically, sentiment tends to lag underlying economic improvements, and we see many tailwinds for the consumer; the labor market remains stable, gas prices are around $3.00 per gallon, below their five-year average of $3.40, and a wave of fiscal stimulus is expected to hit accounts, all of which should broaden purchasing power across cohorts. These catalysts may allow perceptions to begin to catch-up with consumption.

Exhibit 4: Low Sentiment Leads to Positive 12-month Forward Returns.

University of Michigan Consumer Sentiment Index Peaks/Troughs and S&P 500 Index 12-month Forward Returns Percentage.



Source: Bloomberg; Fidelity Investments. Price returns used. Data as of February 28, 2026. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

[8] Bank of America Institute. Survey conducted in early February 2026 of 1,007 individual owing more than two types of debt to gain insights into the types of debt owed and payment behavior, including how they prioritize debt payments.

Portfolio Considerations

With a resilient consumer base, a relatively solid job market, and additional fiscal stimulus expected in the first half of 2026, we remain slightly overweight the Consumer Discretionary sector. Households continue to adjust their budgets to prioritize experiences and essentials, with higher-income consumers further supported by wealth effects from rising home values and equity portfolios. Conversely, we maintain a slight underweight in Consumer Staples as ongoing trade-down behavior and rising preference for private-label products continue to pressure margins and profitability for branded manufacturers.

Asset Class Weightings (as of 2/3/2026)

Asset Class	CIO View / Underweight		Neutral	Overweight	
Global Equities				●	
U.S. Large-cap Growth				●	
U.S. Large-cap Value				●	
U.S. Small-cap Growth				●	
U.S. Small-cap Value				●	
International Developed		●			
Emerging Markets				●	
Global Fixed Income		●			
U.S. Governments		●			
U.S. Mortgages		●			
U.S. Corporates		●			
International Fixed Income		●			
High Yield		●			
U.S. Investment-grade Tax Exempt		●			
U.S. High Yield Tax Exempt		●			
Alternative Investments*					
Hedge Strategies			●		
Private Equity			●		
Private Credit			●		
Real Assets			●		
Cash					

CIO Equity Sector Views

Sector	CIO View / Underweight		Neutral	Overweight	
Financials					●
Utilities				●	
Consumer Discretionary				●	
Industrials				●	
Communication Services			●		
Information Technology			●		
Healthcare			●		
Real Estate		●			
Consumer Staples		●			
Materials		●			
Energy	●				

*Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of February 3, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

Economic Forecasts (as of 2/27/2026)

	Q4 2025A	2025A	Q1 2026E	Q2 2026E	Q3 2026E	Q4 2026E	2026E
Real global GDP (% y/y annualized)	-	3.6*	-	-	-	-	3.5
Real U.S. GDP (% q/q annualized)	1.4*	2.2*	2.6	3.0	2.0	2.0	2.8
CPI inflation (% y/y)	2.7	2.7*	2.5	3.0	2.7	2.6	2.7
Core CPI inflation (% y/y)	2.7	2.9*	2.6	2.8	2.6	2.7	2.7
Unemployment rate (%)	4.5	4.3*	4.5	4.5	4.4	4.3	4.4
Fed funds rate, end period (%)	3.63	3.63	3.63	3.38	3.13	3.13	3.13

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.**
A = Actual. E/* = Estimate. Data as of February 27, 2026.
Sources: BofA Global Research; GWIM ISC as of February 27, 2026.

Equities

	Total Return in USD (%)			
	Current	WTD	MTD	YTD
DJIA	48,977.92	-1.3	0.3	2.1
NASDAQ	22,668.21	-0.9	-3.3	-2.4
S&P 500	6,878.88	-0.4	-0.8	0.7
S&P 400 Mid Cap	3,575.27	-0.9	4.1	8.3
Russell 2000	2,632.36	-1.2	0.8	6.2
MSCI World	4,556.79	0.1	0.7	3.0
MSCI EAFE	3,179.91	1.2	4.6	10.1
MSCI Emerging Markets	1,610.70	2.8	5.5	14.8

Commodities & Currencies

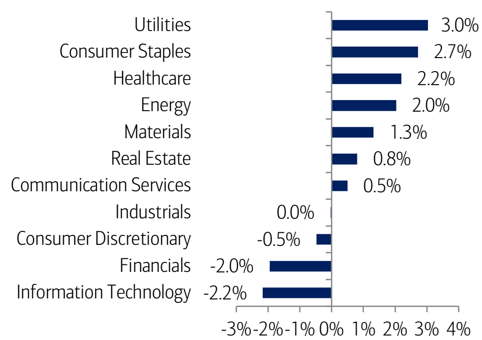
	Total Return in USD (%)			
Commodities	Current	WTD	MTD	YTD
Bloomberg Commodity	308.23	1.7	1.1	11.6
WTI Crude $/Barrel††	67.02	0.9	2.8	16.7
Gold Spot $/Ounce††	5278.93	3.4	7.9	22.2

	Total Return in USD (%)			
Currencies	Current	Prior Week End	Prior Month End	2024 Year End
EUR/USD	1.18	1.18	1.19	1.17
USD/JPY	156.05	155.05	154.78	156.71
USD/CNH	6.86	6.90	6.96	6.98

Fixed Income†

	Total Return in USD (%)			
	Current	WTD	MTD	YTD
Corporate & Government	4.09	0.52	1.64	1.64
Agencies	3.83	0.42	1.11	1.23
Municipals	3.29	0.33	1.25	2.20
U.S. Investment-Grade Credit	4.16	0.54	1.64	1.75
International	4.73	0.21	1.29	1.47
High Yield	6.71	-0.22	0.19	0.69
90 Day Yield	3.66	3.67	3.65	3.63
2 Year Yield	3.37	3.48	3.52	3.47
10 Year Yield	3.94	4.08	4.24	4.17
30 Year Yield	4.61	4.72	4.87	4.84

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 2/23/2026 to 2/27/2026. †Bloomberg Barclays Indices. ††Spot price returns. All data as of the 2/27/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500/Market-cap Weighted Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

S&P 500 Equal Weighted Index is the equal-weight version of the widely-used S&P 500. The index includes the same constituents as the capitalization weighted S&P 500, but each company in the S&P 500 EWI is allocated a fixed weight - or 0.2% of the index total at each quarterly rebalance.

Conference Board Consumer Confidence Index is a barometer of the health of the U.S. economy from the perspective of the consumer. The index is based on consumers' perceptions of current business and employment conditions, as well as their expectations for six months hence regarding business conditions, employment, and income.

University of Michigan Consumer Sentiment Index is a monthly survey of consumer confidence levels in the United States conducted by the University of Michigan.

Important Disclosures

Investing involves risk, including the possible loss of principal. Past performance is no guarantee of future results.

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Nonfinancial assets, such as closely-held businesses, real estate, fine art, oil, gas and mineral properties, and timber, farm and ranch land, are complex in nature and involve risks including total loss of value. Special risk considerations include natural events (for example, earthquakes or fires), complex tax considerations, and lack of liquidity. Nonfinancial assets are not in the best interest of all investors. Always consult with your independent attorney, tax advisor, investment manager, and insurance agent for final recommendations and before changing or implementing any financial, tax, or estate planning strategy.

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CHIEF INVESTMENT OFFICE

Capital Market Outlook

March 2, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—*Beyond Goods—The Expected Boom in China's Knowledge-Intensive Exports:* China's trade is shifting from goods toward high-value, knowledge-intensive services such as information and communication technology (ICT), research & development (R&D), and Artificial Intelligence (AI), a transition that supports a positive outlook for China's technology leaders.

Market View—*In Times of Uncertainty, Choose Fundamentals Over Fear:* Despite negative headlines and elevated uncertainty, market and economic fundamentals remain strong, countering fears around market breadth, tariffs, consumer health, and foreign investment. The key takeaway is to prioritize fundamentals over fear when navigating volatile markets.

Thought of the Week—*The Sentiment-Spending Disconnect*: Despite weak consumer sentiment, resilient spending, supportive hard data, and expected 2026 tailwinds point to a more constructive consumer and Equity outlook than surveys alone suggest.

From the CIO—*Market Update: A Snapshot of Middle East Uncertainties and Market Effects*: The aftershocks from the war in the Middle East will dictate price movements for multi-assets in the near-term. The duration of the conflict, and how broad, are key factors to monitor. Per the accompanying table, geopolitical events are headline-grabbing but not market-moving over the medium-term. We continue to emphasize the highest level of diversification in portfolios.

Major geopolitical events and subsequent S&P 500 price returns.

Event	Date	1 day	1-month	3-month	6-month	12-month
Cuban Missile Crisis	16-Oct-62	-0.3%	5.4%	13.3%	21.1%	27.8%
JFK Assassination	22-Nov-63	4.0%	6.7%	11.5%	16.0%	23.9%
Six-Day War	5-Jun-67	2.0%	3.3%	6.5%	7.7%	13.0%
Bretton Woods Collapse	15-Aug-71	3.2%	4.6%	-3.7%	9.8%	17.0%
Arab Oil Embargo	19-Oct-73	-1.0%	-8.6%	-13.3%	-14.9%	-34.4%
Iranian Shah Overthrown	11-Feb-79	0.3%	1.7%	1.6%	7.8%	20.5%
Fall of Berlin Wall	9-Nov-89	0.8%	3.6%	-0.9%	1.9%	-6.8%
Start of Gulf War	17-Jan-91	1.3%	12.5%	19.1%	16.2%	27.7%
9/11 Terrorist Attacks	11-Sep-01	-4.9%	-1.1%	4.3%	6.6%	-16.7%
Fukushima Nuclear Disaster	11-Mar-11	-0.6%	1.5%	-2.6%	-11.5%	5.1%
Russia Annexes Crimea	20-Feb-14	-0.2%	1.8%	1.8%	8.0%	14.7%
Brexit Vote	23-Jun-16	-3.6%	2.9%	2.4%	7.1%	15.4%
Russia-Ukraine Conflict	24-Feb-22	2.2%	5.4%	-8.1%	-3.4%	-7.4%
Israel-Hamas War	7-Oct-23	0.6%	1.3%	9.0%	20.8%	33.5%
12-Day War	13-Jun-25	0.9%	4.7%	10.2%	14.2%	--
Average		*0.3%*	*3.1%*	*3.4%*	*7.2%*	*9.5%*

Source: Bloomberg. Data as of March 1, 2026. If the market was closed on the event date, the date of the previous market close was referenced. The one-day return for the 9/11 attacks after reopening of the market was on 9/17/2001. The one-day return for the JFK assassination after the reopening of the market was on 11/26/1963. **FOR INFORMATIONAL PURPOSES ONLY**. Indexes are unmanaged and do not take into account fees or expenses. **Past performance is no guarantee of future results.** Please refer to important disclosures at the end of this report.

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MACRO STRATEGY ▶

MARKET VIEW ▶

THOUGHT OF THE WEEK ▶

MARKETS IN REVIEW ▶

Portfolio Considerations

With new highs expected for Equities ahead, investors should consider portfolio adjustments such as increasing exposure to Small-caps and Emerging Markets as well as diversified sector exposures where underweight, leveraging Fixed Income as a ballast while maintaining an Equity overweight, and adding to growth themes and Alternative Assets, for qualified investors, where appropriate.

We are constructive on Fixed Income overall but underweight in order to fund our Equity overweight. We continue to project range-bound yields given sticky inflation and real gross domestic product remaining near or above 2% for the next few years. However, we recognize potentially high volatility in either direction, especially given the expected change in Federal Reserve leadership later this year.

MACRO STRATEGY

Beyond Goods—The Expected Boom in China's Knowledge-Intensive Exports

Joseph P. Quinlan, Managing Director and Head of CIO Market Strategy

Ariana Chiu, Assistant Vice President and Investment Strategist

No nation in the world exports as much merchandise as China. But having conquered global trade in goods, China is now rapidly moving up the global ranks as a leading exporter of knowledge-intensive services. This dynamic is one more reason why we remain constructive on China technology leaders for the long run. As we continue to emphasize to investors, the global race for technological supremacy is a two-horse race—between the U.S. and China. In terms of portfolio construction, own both—or technology leaders in the U.S. and China.

China's new trade paradigm rests on rising exports of services like ICT, construction management, engineering services, data analytics, R&D, and, to a lesser degree, financial services and intellectual property rights. Add up these services, and China already ranks as the world's sixth-largest exporter, up from 12th place in 2005 (Exhibit 1A).

The country now earns more from exports of ICT services ($100 billion in 2024) than traditional export staples like toys ($82 billion) and footwear ($51 billion). Exports of "other business services"—a combination of consulting services, R&D, and technical-related activities—totaled $113 billion in 2024, well ahead of exports of iron and steel ($71 billion) and apparel ($85 billion). And construction service exports in 2024 ($34 billion) were greater than exports of glassware ($25.5 billion) and pharmaceutical products ($12 billion), as depicted in Exhibit 1B.

Service exports like construction have soared due in large part to China's "One Belt, One Road" initiative. Since the program was announced in 2013, construction service exports have tripled, rising from $10.7 billion in 2013 to $33.6 billion in 2024. By ploughing billions of dollars into infrastructure projects around the world, China's mega-development strategy has not only supercharged China's exports of steel, cement, heavy equipment and other goods needed to build ports, highways, power plants and railways. It has also boosted service exports required to keep the ports, railways and power plants humming—think operations management contracts, digital monitoring systems, technical training, maintenance agreements, software upgrades, cloud computing capabilities and related service activities.

Similarly, when China's leading telecommunication leaders install a 4G or 5G network in Pakistan, or a China's technology giant builds a data center in Brazil, it's not one and done. What typically follows are multiyear-managed-service agreements that include software updates, technical support, network maintenance and related activities that lock in the business for years—and drive growth in services trade. Indeed, export services of telecommunication, computer and information services have quadrupled just in the past decade, rising from 2015 ($25.8 billion) to $100 billion in 2024.

In addition, as China has moved up the value-added curve in exports of electrical vehicles, robots, drones, solar panels, and wind turbines, the expansion in knowledge-intensive service exports have followed. Each one of these products are highly digitalized and are accompanied with an array of recurring service requirements that only strengthens and fortifies China's competitive position in various markets around the world.

Trade in hardware (goods) has led to more trade in software (services)—one pulls the other. In reality, this means that the export of electrical vehicles comes with software upgrades; the export of robots and drones comes with the export of cloud connectivity services and remote monitoring systems; and the export of solar panels and wind turbines comes with the exports of technical services and maintenance.

Services increasingly account for a rising value of China's manufacturing exports. This represents a new front in China's trade with the world—but it doesn't end there.

Enter AI and China's advances in open-source AI. More affordable and accessible to end users, DeepSeek's large language models (LLM) and other iterations from China are gaining traction around the world, notably in Africa, Russia, the Middle East and other emerging markets. Indeed, the number of cumulative global downloads of China's open-sourced AI models surpassed those of the U.S. last September, with the gap only widening since then (Exhibit 1C).

Portfolio Considerations

As China expands its knowledge-intensive exports and competes with the U.S.' AI capabilities, portfolios have the potential to benefit from being exposed to technology leaders both in the U.S. and in China. We remain overweight Emerging Markets (EM) which are heavily levered to technology companies in Asian markets.

And as an aside, open-source LLMs from China are not are not just surging in popularity in the emerging markets. They are also gaining popularity and adoption in the U.S. Cost-effective, high performing, and frequently updated—owing to these factors, 80% of U.S. AI startups rely on China's open-source models instead of U.S. models.[1] Rising AI adoption rates of China models means more AI-enabling activities and more demand for China's knowledge-intensive exports including ICT services, real-time data processing, predictive maintenance data analytics, systems integration and smart infrastructure management.

Given all the above, China's trade in knowledge-intensive services has swung from a perennial deficit over much of this century to a surplus beginning around 2015 (Exhibit 1D). The surplus in trade in "other services" topped $80 billion in 2024—and putting that number into perspective; when it comes to running a trade surplus in "other services" or construction and knowledge-intensive trade, China now ranks fourth in the world, trailing only the U.S., the U.K. and India. Within the category of "other services," construction trade posted a surplus of $25 billion in 2024; the trade surplus in ICT was a record $60 billion; and the surplus in "other business services" including R&D totaled $48 billion—also a record high.

More broadly, and for some context, China's total service exports remain second fiddle to China's trade in goods. In 2024, total service exports accounted for just 12.5% of goods exports in 2024. In addition, China still runs an overall deficit in total services owing to a large deficit in travel (visitors from China spending more overseas than foreign visitors spending in China) and a deficit in education receipts. It also runs a deficit in intellectual property royalites since the nation remains a net importer of intellectual property.

However, investors should see the big picture, which is this: China's trade has entered a new phase—think not only high-end goods like electrical vehicles, robots and drones but also construction services and knowledge-intensive services exports that range from telecommunication platforms to AI-embedded capabilities. Against this backdrop, we remain constructive on China technology.

Exhibit 1: China's New Trade Paradigm Rests on Services Exports.

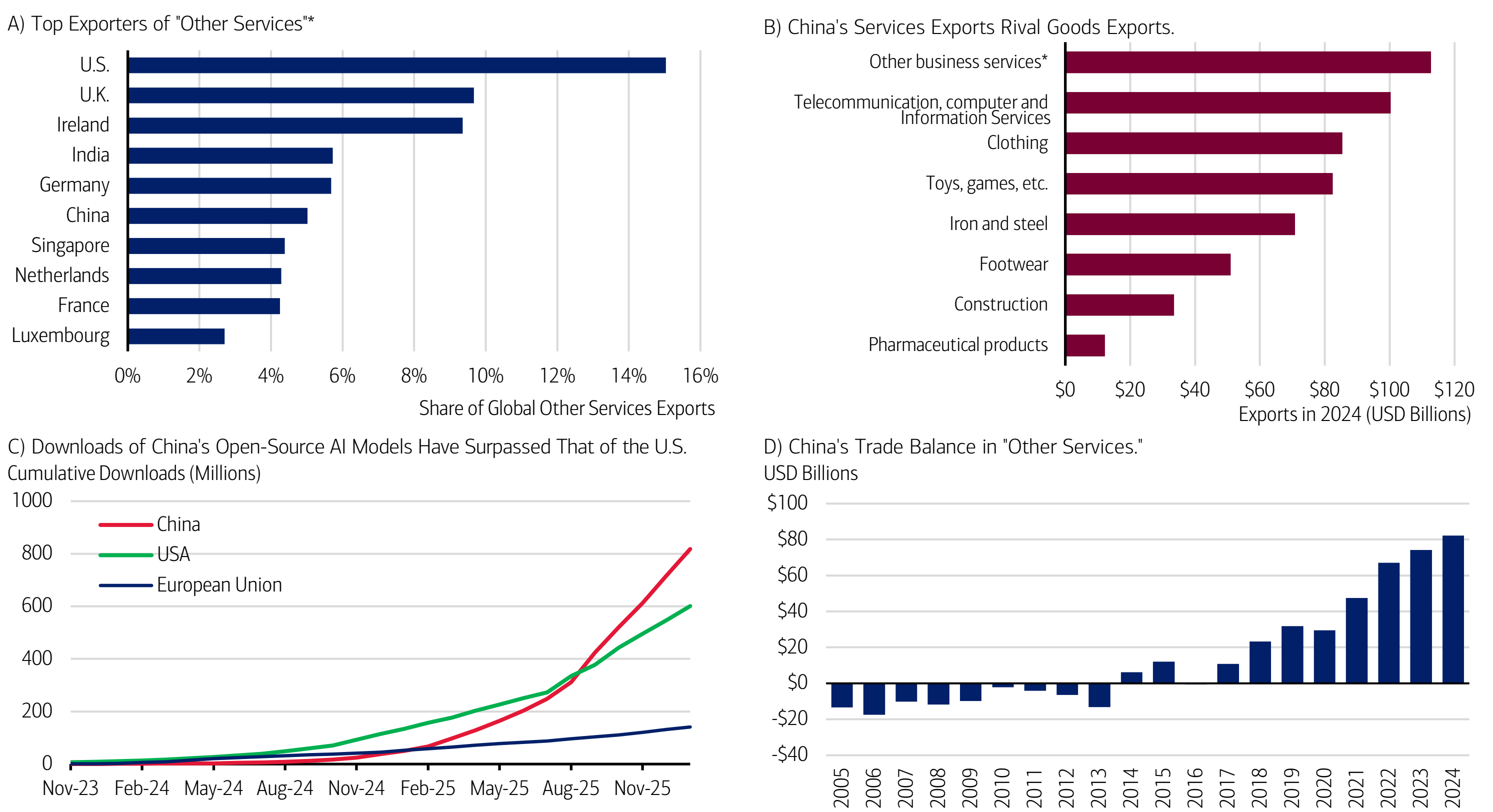


Exhibit 1A) *Includes construction, insurance and pension services, financial services, charges for use of intellectual property, telecommunication/computer/information services, other business services, recreational services, and government goods and services. Source: World Trade Organization (WTO). Data as of February 2026. Exhibit 1B) *Includes R&D, consulting services, and trade and technical-related services. Source: WTO; International Trade Centre. Data as of February 2026. Exhibit 1C) Source: The ATOM Project, Hugging Face. Data as of February 24, 2026. Exhibit 1D) Source: WTO. Data as of February 2026.

[1] "80% of AI start-ups applying for VC funding with Andreessen Horowitz are using Chinese Open-source AI.", European Central Station, 2025.

In Times of Uncertainty, Choose Fundamentals Over Fear

Ariana Chiu, Assistant Vice President and Investment Strategist

In today's attention economy, it's easy to get distracted by the nonstop stream of (usually negative) headlines. But as investors, and especially in times of heightened uncertainty, it's important to remember that underlying fundamentals ultimately drive the economy and markets. While risks certainly remain, there's a lot to like about what's taking place in the global economy and markets. Fundamentals are still largely intact—a fact that doesn't tend to go viral or make front-page news. Below we address some common current fears and why fundamentals suggest otherwise.

On fear that this bull market is too narrow to last... Concerns surrounding U.S. equity market concentration and the return on AI investment (or lack thereof) continue to swirl. As recent volatility suggests, AI now has a long list of fears attached to it, ranging from the belief that agentic AI will lead to mass white collar unemployment and a global recession to the fear that limited AI adoption will end in massive overinvestment and abandoned data centers.

The wall of worry is high, and yet the average stock in the S&P 500 has fared surprisingly well over the last few months. So far in 2026, the equal-weighted S&P 500 has outperformed its market cap-weighted counterpart by the widest margin since 1992,[2] a stark departure from three consecutive years of ultra-narrow performance (Exhibit 2A). Breadth is at record levels, as Exhibit 2B highlights, with more than 320 companies in the S&P 500 outperforming the broader index year-to-date (including none of the Magnificent 7[3]). Strength from areas of the market outside of technology have pulled their weight since last November—hence an S&P 500 just 1% to 2% off an all-time high despite industries like software in bear market territory. Internals still look good for the broader index, with 68% of stocks above their 200-day moving average. All of this is good news for the sustainability of this bull market.

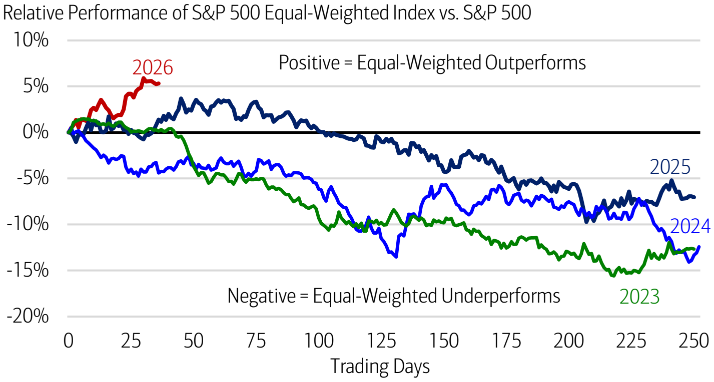
Portfolio Considerations

With U.S. Equities churning under the surface, we urge investors to take advantage of broadening fundamentals in portfolios, increasing exposure to areas like Small-caps and EMs for those who are underweight and maintaining diversified exposure to Value and Growth. Demand for U.S. securities should remain robust this year, and a gradual weakening rather than disorderly downfall of the dollar is likely.

Exhibit 2: The Broadening is Finally Here.

A) 2026: Year of the Average Stock?

Relative Performance of S&P 500 Equal-Weighted Index vs. S&P 500



B) Record Breadth After 3 Years of Ultra-Narrow Performance.

Number of Constituents Outperforming Broader S&P 500

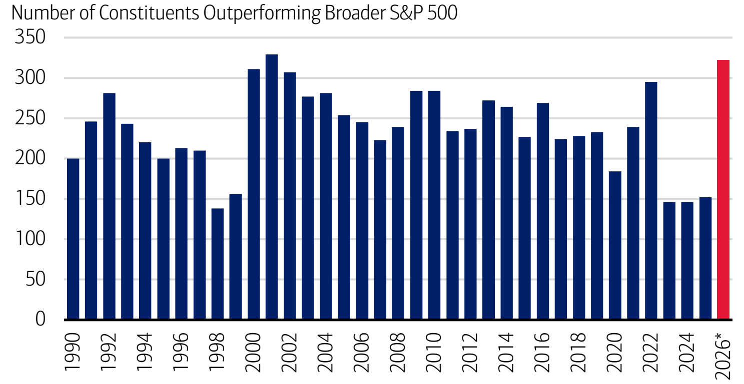


Exhibit 2A) Source: Bloomberg. Data as of February 24, 2026. Exhibit 2B) *Year-to-date. Source: Bloomberg. Data as of February 24, 2026. **Past performance is no guarantee of future results**. Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

On fear that renewed tariff uncertainty will cripple corporate America... With the Supreme Court's decision on February 20, IEEPA tariffs have been replaced with Section 122 tariffs for the next 150 days. While lower tariffs for countries like China and Brazil are good news in the near term for many companies, it's clear that tariff uncertainty will continue to be a feature of 2026. Alternative authorities to the International Emergency Economic Powers Act are likely to keep the effective tariff rate well above where it averaged prior to 2025 (around 2.2% over the prior 10 years[4]). Meanwhile, lengthy sector- and country-specific investigations will make tariff implementation more cumbersome.

With that said, it shouldn't be lost on investors that corporate America managed record profit margins and earnings growth through the Liberation Day (April 2) shakeout. Q4

[2] Refers to the first 36 trading days of the year. Bloomberg. Data as of February 24, 2026.

[3] Apple, Amazon, Alphabet, Nvidia, Meta, Microsoft, and Tesla

[4] U.S. International Trade Commission.

earnings growth for the S&P 500 is tracking at 14% year-over-year (YoY), marking the fifth straight quarter of double-digit earnings growth or its longest such streak since 2018. Well-diversified investors are also benefitting from a broadening in profits not only across sectors but also along the cap spectrum and to the rest of the world. Hence our preference in portfolios for Small-caps, EMs, and a balance of Value and Growth.

On fear that household balance sheets, particularly among lower-income consumers, are deteriorating… It's no secret that spending in the U.S. has been increasingly top-heavy, not only by income but also by education and age. Spending of college graduates has grown about 2.4% faster than that of nongraduates since 2023.[5] Meanwhile, those aged 55 and older now account for some 45% of overall U.S. consumption, up from less than 30% at the start of the century.[6] It's hardly an even playing field out there.

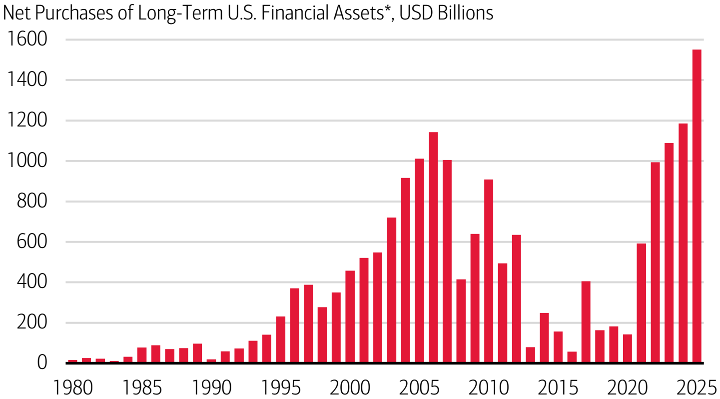
However, data from the Federal Reserve continues to suggest balance sheets are strong—not just in aggregate or among wealthier households but across income cohorts. To wit, debt as a share of household net worth among the bottom 20% of households by income currently stands at 16.1%, having gradually declined from 20% at the start of the decade and technically now at the lowest level since 1999. A similar pattern can be observed across income quintiles. In other words, though higher prices have weighed on lower-income households and while delinquency rates bear watching, consumer balance sheets across the income spectrum are still in historically solid shape.

And finally, on fear that foreign investors are bailing on the U.S.… Like in 2025, the narrative that foreign investors are abandoning U.S. assets on macro/geopolitical developments has gripped headlines this year. Yet there has been little evidence of this in the latest data from the Treasury Department, which showed that foreign investors purchased a record net $1.55 trillion of long-term U.S. financial assets in 2025—a stunning 31% increase from $1.18 trillion in 2024 (Exhibit 3A). Included were $720 billion of net equity purchases and $409 billion in Treasury notes and bonds. Foreign demand has proven strong to start the year too; 19% of January's note and bond auctions were allotted to foreign accounts, the highest share in three years.[7]

Indeed, the "sell America" trade has been more bark than bite. The decline in the dollar, now 8% below where it entered 2025 on a real trade-weighted basis, has primarily reflected foreign investors from Asia and Europe hedging their dollar exposure after a decade of robust U.S. returns. So far this year, the greenback has declined more than 1% in trade-weighted terms but remains overvalued (Exhibit 3B). We expect the dollar to strengthen in the near-term given conflict in the Middle East before resuming a slightly weaker path. Don't buy into the fear that foreigners have given up on U.S. assets.

Exhibit 3: Fade the Foreign Buyer Strike.

A) So Much for the "Sell America" Trade.
Net Purchases of Long-Term U.S. Financial Assets*, USD Billions



B) Dollar Remains Overvalued on a Historical Basis.
Real Trade-Weighted USD

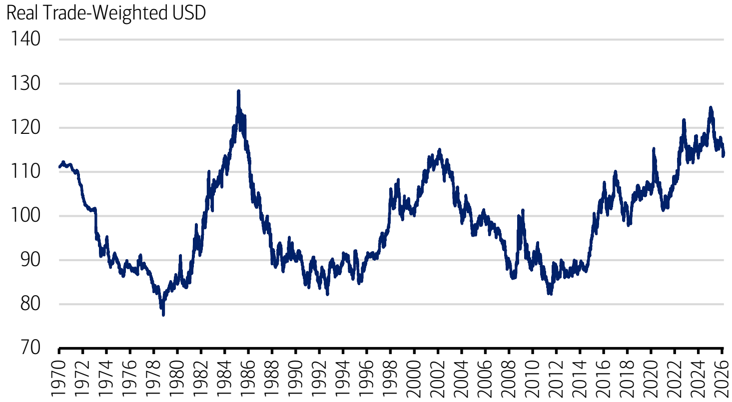


Exhibit 3A) *Includes Equities, Treasurys, Agencies, and Corporates. Source: U.S. Treasury. Data as of February 24, 2026. Exhibit 3B) Source: Bloomberg, Federal Reserve. Data as of February 24, 2026.

[5] Federal Reserve Bank of New York. Data through December 2025 as of February 3, 2026.

[6] Moody's Analytics. Q3 2025 data as of February 24, 2026.

[7] U.S. Treasury. Data as of February 24, 2026.

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THOUGHT OF THE WEEK

The Sentiment-Spending Disconnect

Theadora Lamprecht, Assistant Vice President and Investment Strategist

The U.S. consumer backdrop is increasingly defined by a divergence between 'soft' data and 'hard' data: sentiment remains subdued, while spending continues to prove more resilient than expected.

Sentiment is cautious but may be nearing an inflection point for markets. Survey-based measures, such as the Conference Board Consumer Confidence Index and University of Michigan Consumer Sentiment Index, remain below pre-pandemic levels, reflecting persistent concerns about affordability. Households may be employed and earning but remain uneasy about real purchasing power.

Even so, there are emerging bright spots. The Conference Board's February reading came in above expectations at 91.2, up from the prior month's upwardly revised 89.0. Labor market perceptions remain constructive: a greater number of participants said that jobs were "plentiful" (28%) compared to "hard to get" (21%). For investors, periods of depressed sentiment have historically created favorable entry points for Equities. Across the past seven major peaks and troughs in the University of Michigan Index, average 12-month forward S&P 500 returns following a sentiment peak were roughly 4.3%, compared with a whopping 25.0% following a trough. In other words, when consumer confidence reaches extreme lows, subsequent equity market performance has tended to be meaningfully stronger (Exhibit 4).

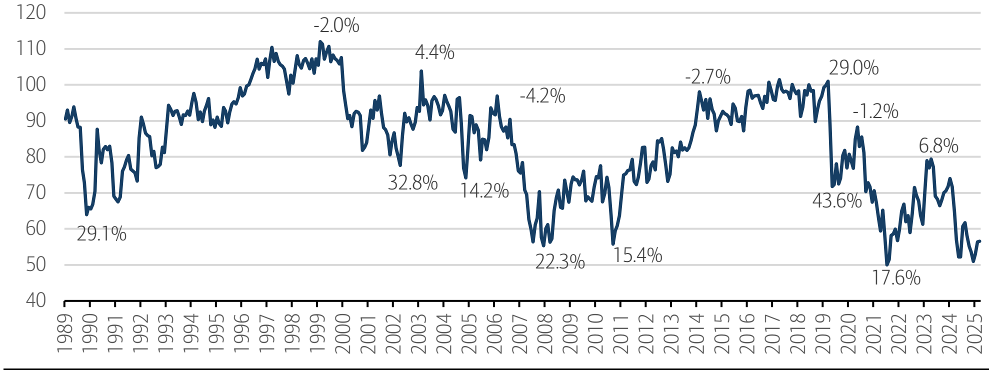
Spending remains strong. According to the Bureau of Economic Analysis, personal consumption expenditures continue to expand, with services spending providing notable support. Internal Bank of America Institute data tells a similar story: Total credit/debit card spending per household increased 2.6% YoY in January, the largest increase since February 2024. Additionally, consumption remains the largest contributor to GDP growth.

Positive after-tax wage growth and wealth effects have sustained higher-income discretionary spending. Wage growth dispersion between higher- and lower-income cohorts hasn't widened further from last fall's peak, and despite some uptick in credit-card delinquencies, median checking/savings balances remain above inflation-adjusted 2019 levels. Also, tax refunds are expected to be 26% higher compared to 2025, with over 36% of consumers[8] using refunds to pay down debts. This should shore up the consumer balance sheet and boost spending.

Looking ahead: The consumer outlook may prove more constructive than sentiment alone suggests. Historically, sentiment tends to lag underlying economic improvements, and we see many tailwinds for the consumer; the labor market remains stable, gas prices are around $3.00 per gallon, below their five-year average of $3.40, and a wave of fiscal stimulus is expected to hit accounts, all of which should broaden purchasing power across cohorts. These catalysts may allow perceptions to begin to catch-up with consumption.

Exhibit 4: Low Sentiment Leads to Positive 12-month Forward Returns.

University of Michigan Consumer Sentiment Index Peaks/Troughs and S&P 500 Index 12-month Forward Returns Percentage.



Source: Bloomberg; Fidelity Investments. Price returns used. Data as of February 28, 2026. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

[8] Bank of America Institute. Survey conducted in early February 2026 of 1,007 individual owing more than two types of debt to gain insights into the types of debt owed and payment behavior, including how they prioritize debt payments.

Portfolio Considerations

With a resilient consumer base, a relatively solid job market, and additional fiscal stimulus expected in the first half of 2026, we remain slightly overweight the Consumer Discretionary sector. Households continue to adjust their budgets to prioritize experiences and essentials, with higher-income consumers further supported by wealth effects from rising home values and equity portfolios. Conversely, we maintain a slight underweight in Consumer Staples as ongoing trade-down behavior and rising preference for private-label products continue to pressure margins and profitability for branded manufacturers.

MARKETS IN REVIEW

Asset Class Weightings (as of 2/3/2026)

Asset Class	CIO View / Underweight		Neutral	Overweight	
Global Equities				●	
U.S. Large-cap Growth				●	
U.S. Large-cap Value				●	
U.S. Small-cap Growth				●	
U.S. Small-cap Value				●	
International Developed		●			
Emerging Markets				●	
Global Fixed Income		●			
U.S. Governments		●			
U.S. Mortgages		●			
U.S. Corporates		●			
International Fixed Income		●			
High Yield		●			
U.S. Investment-grade Tax Exempt		●			
U.S. High Yield Tax Exempt		●			
Alternative Investments*					
Hedge Strategies			●		
Private Equity			●		
Private Credit			●		
Real Assets			●		
Cash					

CIO Equity Sector Views

Sector	CIO View / Underweight		Neutral	Overweight	
Financials					●
Utilities				●	
Consumer Discretionary				●	
Industrials				●	
Communication Services			●		
Information Technology			●		
Healthcare			●		
Real Estate		●			
Consumer Staples		●			
Materials		●			
Energy	●				

*Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of February 3, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

Economic Forecasts (as of 2/27/2026)

	Q4 2025A	2025A	Q1 2026E	Q2 2026E	Q3 2026E	Q4 2026E	2026E
Real global GDP (% y/y annualized)	-	3.6*	-	-	-	-	3.5
Real U.S. GDP (% q/q annualized)	1.4*	2.2*	2.6	3.0	2.0	2.0	2.8
CPI inflation (% y/y)	2.7	2.7*	2.5	3.0	2.7	2.6	2.7
Core CPI inflation (% y/y)	2.7	2.9*	2.6	2.8	2.6	2.7	2.7
Unemployment rate (%)	4.5	4.3*	4.5	4.5	4.4	4.3	4.4
Fed funds rate, end period (%)	3.63	3.63	3.63	3.38	3.13	3.13	3.13

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.**
A = Actual. E/* = Estimate. Data as of February 27, 2026.
Sources: BofA Global Research; GWIM ISC as of February 27, 2026.

Equities

	Total Return in USD (%) Current	WTD	MTD	YTD
DJIA	48,977.92	-1.3	0.3	2.1
NASDAQ	22,668.21	-0.9	-3.3	-2.4
S&P 500	6,878.88	-0.4	-0.8	0.7
S&P 400 Mid Cap	3,575.27	-0.9	4.1	8.3
Russell 2000	2,632.36	-1.2	0.8	6.2
MSCI World	4,556.79	0.1	0.7	3.0
MSCI EAFE	3,179.91	1.2	4.6	10.1
MSCI Emerging Markets	1,610.70	2.8	5.5	14.8

Commodities & Currencies

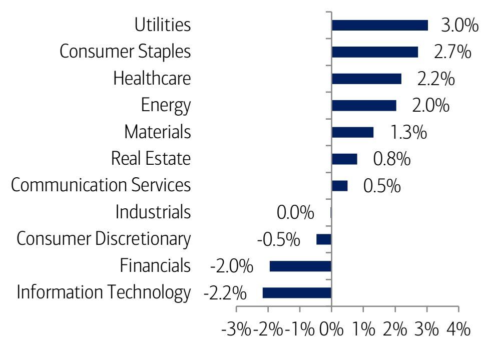
Commodities	Total Return in USD (%) Current	WTD	MTD	YTD
Bloomberg Commodity	308.23	1.7	1.1	11.6
WTI Crude $/Barrel††	67.02	0.9	2.8	16.7
Gold Spot $/Ounce††	5278.93	3.4	7.9	22.2

Currencies	Total Return in USD (%) Current	Prior Week End	Prior Month End	2024 Year End
EUR/USD	1.18	1.18	1.19	1.17
USD/JPY	156.05	155.05	154.78	156.71
USD/CNH	6.86	6.90	6.96	6.98

Fixed Income†

	Total Return in USD (%) Current	WTD	MTD	YTD
Corporate & Government	4.09	0.52	1.64	1.64
Agencies	3.83	0.42	1.11	1.23
Municipals	3.29	0.33	1.25	2.20
U.S. Investment-Grade Credit	4.16	0.54	1.64	1.75
International	4.73	0.21	1.29	1.47
High Yield	6.71	-0.22	0.19	0.69
90 Day Yield	3.66	3.67	3.65	3.63
2 Year Yield	3.37	3.48	3.52	3.47
10 Year Yield	3.94	4.08	4.24	4.17
30 Year Yield	4.61	4.72	4.87	4.84

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 2/23/2026 to 2/27/2026. †Bloomberg Barclays Indices. ††Spot price returns. All data as of the 2/27/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500/Market-cap Weighted Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

S&P 500 Equal Weighted Index is the equal-weight version of the widely-used S&P 500. The index includes the same constituents as the capitalization weighted S&P 500, but each company in the S&P 500 EWI is allocated a fixed weight - or 0.2% of the index total at each quarterly rebalance.

Conference Board Consumer Confidence Index is a barometer of the health of the U.S. economy from the perspective of the consumer. The index is based on consumers' perceptions of current business and employment conditions, as well as their expectations for six months hence regarding business conditions, employment, and income.

University of Michigan Consumer Sentiment Index is a monthly survey of consumer confidence levels in the United States conducted by the University of Michigan.

Important Disclosures

Investing involves risk, including the possible loss of principal. Past performance is no guarantee of future results.

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Alternative investments are intended for qualified investors only. Alternative Investments such as derivatives, hedge funds, private-credit, private equity funds, and funds of funds can result in higher return potential but also higher loss potential. Changes in economic conditions or other circumstances may adversely affect your investments. Before you invest in alternative investments, you should consider your overall financial situation, how much money you have to invest, your need for liquidity and your tolerance for risk.

Nonfinancial assets, such as closely-held businesses, real estate, fine art, oil, gas and mineral properties, and timber, farm and ranch land, are complex in nature and involve risks including total loss of value. Special risk considerations include natural events (for example, earthquakes or fires), complex tax considerations, and lack of liquidity. Nonfinancial assets are not in the best interest of all investors. Always consult with your independent attorney, tax advisor, investment manager, and insurance agent for final recommendations and before changing or implementing any financial, tax, or estate planning strategy.

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CHIEF INVESTMENT OFFICE

Capital Market Outlook

February 23, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—*Japan in the New World Order:* Japan's stocks have substantially outperformed those in the U.S. over the past year. The recent national elections, which saw Sanae Takaichi, Japan's first female Prime Minister, carry her party to the biggest landslide majority since World War II (WWII), clearly separates Japan from most other rich industrial economies where the bitter political divide typical of prior fourth turnings[1] makes progress on key policy issues difficult to achieve. This strong Japan political consensus, along with the major reforms making the country's equity market more attractive, suggests a new secular bull market has begun after the lost decades of deflationary stagnation that began over 35 years ago. In our view, Japan is well poised to prosper in the new world order taking shape.

Market View—*Global Equity Markets and the Tech Turmoil:* After the post-April advance and double-digit gains of 2025, U.S. Equities have had a comparatively volatile start to 2026. Market weakness has been most concentrated in software and cloud hyperscalers. And Equity indexes have exhibited a similar pattern globally, with a few growth sectors lagging the rest of the market. This has favored non-U.S. Equities given their heavier tilt toward Value and cyclicals. We still view the Artificial Intelligence (AI) investment and deployment theme as fundamentally intact and therefore expect growth sectors to perform well with a favorable stance on U.S. Equities. But in our view strong global growth, a weaker dollar, higher commodity prices and extended technology valuations also create a favorable environment for a number of non-U.S. markets.

Thought of the Week—*A Bull Market in Hard Power*: The intensified geopolitical environment combined with a global modernization of military arms is fueling a broad acceleration in defense spending across major economies. Europe, for one, has made significant commitments to a rearmament cycle at the same time that China, Japan and South Korea are also pledging to meaningful increase their defense budgets. That's not unlike the U.S., still the world's biggest spender on defense. All this equates to a global arms race now underway.

[1] Fourth turnings are volatile periods of radical change in American history that have occurred every fourth generation (80 to 100 years) including the periods of the Revolutionary war, the Civil war and the Great Depression and World War II.

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Portfolio Considerations

With new highs expected for Equities ahead, investors should consider portfolio adjustments such as increasing exposure to Small-caps and Emerging Markets as well as diversified sector exposures where underweight, leveraging Fixed Income as a ballast while maintaining an Equity overweight, and adding to growth themes and Alternative Assets, for qualified investors, where appropriate.

We are constructive on Fixed Income overall but underweight in order to fund our Equity overweight. We continue to project range-bound yields given sticky inflation and real gross domestic product remaining near or above 2% for the next few years. However, we recognize potentially high volatility in either direction, especially given the expected change in Federal Reserve leadership later this year.

MACRO STRATEGY

Japan in the New World Order

Chief Investment Office, Macro Strategy Team

Japan was a major beneficiary of the old-world order that is currently being transformed by the political forces that have arisen from the old orders failure to address the needs of increasing numbers of people.

The old-world order was created in the ashes of the destruction from WWII. Arguably, nowhere was the devastation as widespread as in Japan after its wartime defeat.

The architects of the global institutions that framed the rules for the post-war recovery were especially focused on avoiding the problems that had arisen from the settlements after World War I, which were largely felt to have led to the conditions causing the Great Depression of the 1930s and WWII.

One of the main architects of the 1940s post-war framework, John Maynard Keynes, had predicted those problems in his famous book, The Economic Consequences of the Peace, written shortly after the Treaty of Versailles was finalized. Essentially, he argued the harsh treatment of Germany would lead to economic instability and make more conflict likely.

This experience caused the victors in WWII, mainly the U.S. and the U.K., to take a different approach with their defeated enemies, Japan and Germany. The new geopolitical order was created to help them recover and prosper with the belief that peaceful coexistence was more likely in a world of shared prosperity. The plan was wildly successful. In the next 45 years Japan and Germany rose from the ashes to become the second- and third-largest economies in the world.

The geopolitical order created during the 1940s included the Bretton Woods monetary arrangements supported by the creation of the International Monetary Fund and World Bank, the United Nations and the General Agreement on Tariffs and Trade (GATT) system for negotiating tariffs and other trade barriers. As with most major reforms tailored for a particular situation and time, these changes worked well especially for fostering economic recovery but have encountered more problems and grown less effective for changing times. Rather than solving problems, the old system has become the source of new problems over the past several decades.

Japan's experience illustrates both the successes and the shortcomings of the global arrangements set up in the 1940s. A major debate at the Bretton Woods Conference between Keynes and Harry Dexter White, the U.S. Treasury representative leading the negotiations, revolved around the new international monetary system. Keynes wanted to create a new international currency administered by a global central bank for settlement of international trade imbalances. The U.S. position which was adopted instead made the dollar the global currency for settlements fixing it to a $35 per ounce gold price. The debate foreshadowed the basic problem that had plagued the interwar period of how to deal with countries that run persistent trade surpluses as well as the high tariffs that hurt the global trading system in the 1930s.

While the GATT Treaty, which was eventually replaced by the World Trade Organization, lowered tariffs, it basically allowed other countries to have higher tariffs than the U.S. because of the U.S.'s superior position after WWII and the greater need for recovery and economic development elsewhere.

In any event, Japan was able to use this system to build massive trade surpluses until the 1980s when the Reagan administration took remedial actions such as forcing Japan's car production into the U.S. At its peak in the late 1980s, concerns of Japan taking over the world were rampant, Japan asset valuations were astronomical, and Japan was buying up trophy U.S. assets, like the Pebble Beach Golf Course. At the peak, the Imperial Palace Grounds in Tokyo, for example, were said to be more highly valued than all the real estate in California. Japan's stocks comprised the biggest share of global equity markets.

Investment Implications

Japan's stocks have started the year on a strong footing and have a number of tailwinds that warrant an overweight allocation in our view.

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This was the first major trade imbalance problem for the U.S. in the post-War system. Today's imbalances, with China, in particular, taking advantage of the system, is the latest reminder of the issue that the architects of the Bretton Woods system grappled with but did not solve. Instead, they bestowed the U.S. dollar with exorbitant privilege at the cost of the problems caused by persistent growing trade imbalances.

Since 1990, Japan has seen one of the biggest asset bubbles ever deflate and persistent weak economic growth. Nevertheless, despite this decades-long poor economic performance, today it remains one of the richest countries in the world. For example, it owns more U.S. Treasury securities than any other country, including China. Spurred by a weak yen and low interest rates, Japanese investors have provided massive capital outflows financing investments all around the world including with the yen carry trade.

The new world order is largely about restoring parity, with the U.S. taking away the advantages it gave to the rest of the world after the 1940s. For Japan like everywhere else this means focusing more on domestic growth, investment and development rather than relying on trade surpluses to grow.

This implied movement of capital back into Japan should help the yen gain back some of the value it's lost in recent years. Estimates of fair value for the yen are quite a bit higher than current levels. One of the disadvantages for U.S. trade in the old order according to its critics is a tendency for the dollar to be overvalued because of its reserve currency status under the system created after WWII. To earn dollar reserves countries run persistent trade surpluses with the U.S.

While there is fierce resistance to the emerging new world order, especially from Europe, Japan's new government appears to be on board. The new prime minister admires Margaret Thatcher, Britain's first female Prime Minister. She has signed a trade deal with the U.S. and committed billions of dollars to joint energy projects to be developed in the U.S. Her cooperation is likely to reap continued benefits from the U.S. in the global reordering process.

In the meantime, Japan has spent recent years making its corporate governance rules more shareholder-friendly and less bound by the old system that ignored shareholders. Significant reforms were included in the Corporate Governance Code adopted in 2015 and implemented since then. The Tokyo Stock Exchange has increased pressure on companies trading below book value to develop capital improvement plans. There has been increased protection for minority shareholders. In short, the old system that favored insiders has been reformed to make Japan's equity market more shareholder friendly for the public.

Finally, after a decades-long effort to escape its debt-deflation trap Japan's monetary policy has apparently succeeded in its goal to reach a 2% inflation target putting Japan more in line with the rest of the world's major economies.

As a result, the Bank of Japan has begun to raise interest rates. As interest rates normalize domestic investment becomes more attractive and Japan's massive capital holdings around the world can come back home. This should help to bolster the yen back toward fair value and finance the new AI economy transition.

Japan was the first economy to confront the aging issue spreading through the developed world. AI has the potential to solve a lot of the problems confronting aging societies. Japan is likely to be at the forefront developing those solutions.

Between a stronger currency and a secular bull market after decades of stagnation Japan's stocks appear attractive for a well-diversified portfolio. In a world where political consensus is rare, Japan's recent election suggests policies to adapt to the new world order may be easier to implement than elsewhere where resistance is strong.

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MARKET VIEW

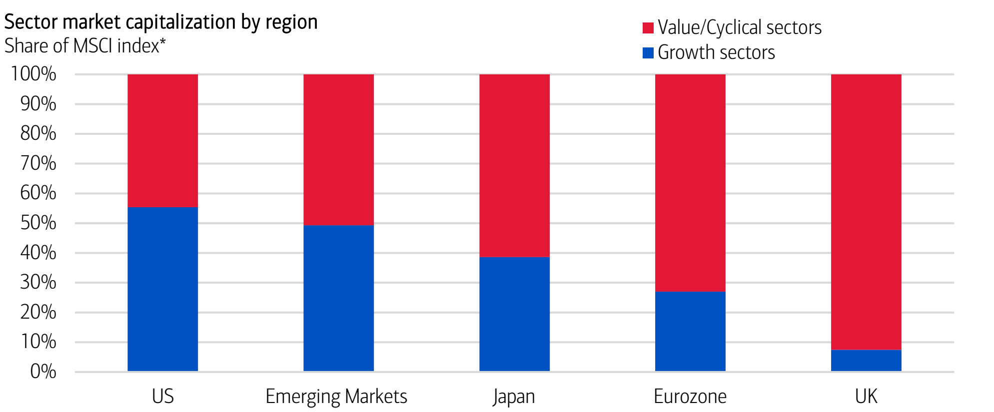
Global Equity Markets and the Tech Turmoil

Ehiwario Efeyini, Director and Senior Investment Strategist

After the post-April advance and double-digit gains of 2025, U.S. Equities have had a comparatively volatile start to 2026. Leadership has shifted away from Growth to Value and cyclicals. A wide gap of 20-plus percentage points has opened between the highest-returning sectors (Materials, Energy, Consumer Staples) and the lowest-returning sectors (Information Technology (IT), Consumer Discretionary). And the cap-weighted U.S. index has treaded water. Market weakness has been most concentrated in the software segment of the IT sector and across the cloud hyperscalers in Consumer Discretionary and Communication Services, giving contradicting signals that the prospective return on AI infrastructure investment may not justify current spending levels, but could nonetheless be sufficient to displace the market for enterprise software services.

Equity indexes have exhibited a similar pattern globally, with a few growth sectors lagging the rest of the market. And this has favored non-U.S. Equities given their heavier tilt toward Value and cyclicals (Exhibit 1). The three technology-linked growth sectors of IT, Communication Services and Consumer Discretionary now account for the majority (55%) of S&P 500 exposure, above the share for Emerging Markets (EM) (49%) and well in excess of the shares for Japan (39%), Europe (27%) and the U.K. (8%). We maintain a preference for the U.S. over the rest of the world. But strong global growth, a weaker dollar, higher commodity prices and extended technology valuations also create a favorable environment for a number of non-U.S. markets. And respective differences in industry composition and local policy settings should also determine their relative direction over the course of the year.

Exhibit 1: International Equities Tilted More Toward Value and Cyclicals Than Growth Sectors.



Source: MSC; Bloomberg. Data as of 2025. *U.S. is S&P 500. Growth sectors: Information Technology, Communication Services, Consumer Discretionary. Value/Cyclical sectors: Materials, Energy, Consumer Staples, Industrials, Financials, Healthcare, Utilities, Real Estate. Eurozone is euro-denominated markets within MSCI index. **Past performance is no guarantee of future results**. Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

Similar to U.S. Equities, EM has close to half of its market cap in growth sectors. But in contrast with the U.S. market, the EM index has not experienced the same valuation compression during the recent technology turmoil. From its late-January price peak the S&P 500 price-to-earnings multiple has contracted by a half point, while over the same period EM valuations have expanded. This has been driven in part by their lower starting point, but also due to EM growth composition at the industry level. Technology-related exposure in hardware enablers such as foundry, semiconductors and storage has been relatively well immunized from the disruption expected in software and services that has weighed on the U.S. market. And this has been a key reason for the ongoing leadership of heavyweight markets within EM Asia.

European markets have benefitted directly from being more exposed to value and cyclicals, and have also seen their valuations move higher over recent weeks. The shift in fiscal approach away from balanced budgets and toward a much less restrictive stance is still in progress, focused most closely on the European Union (EU) defense industry. And in the

Portfolio Considerations

Global Equities have been led by non-U.S. markets so far in 2026 as sector leadership has shifted away from Growth to Value and cyclicals. We remain favorable on the U.S. market and expect the AI theme to remain a key driver of returns over the period ahead. But strong global growth, a weaker dollar, higher commodity prices and extended technology valuations also create a favorable environment for a number of international markets. And alongside differences in industry composition and local policy settings we also retain a constructive view on Japan and Emerging Markets.

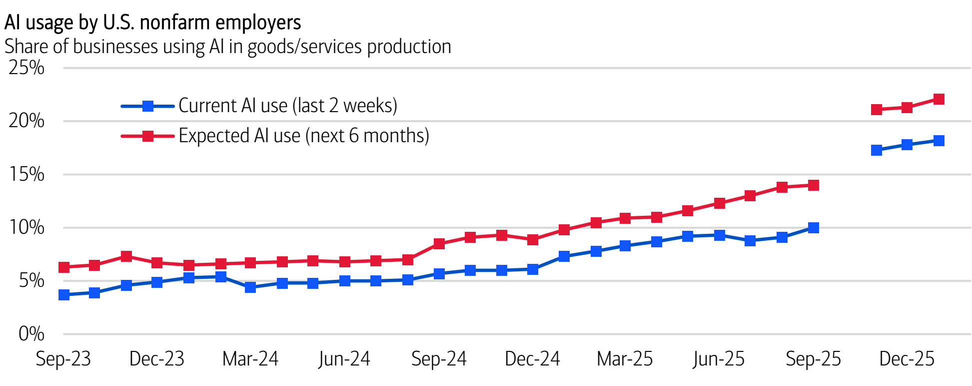
EU's largest economy Germany, broader spending plans also include increased outlays on clean energy, transportation and digital infrastructure. 2026 and 2027 are expected to be the peak growth impact years for Europe's fiscal expansion, and early signs of its effect have been visible in Germany's industrial manufacturing orders which grew by 5.7% in November and 7.8% in December. Indeed investment-led growth from both the public sector and private industry was referenced by the European Central Bank (ECB) in its decision to leave policy rates on hold at its latest meeting earlier this month, and this should continue to support cyclical sectors within the European equity market. Though at the same time investors should nonetheless retain a degree of caution over euro strength, weak exports, sub-2% inflation and a hawkish monetary policy stance.

Within Europe, the U.K. market has outpaced the eurozone so far this year with an even lower exposure of less than 10% to the three major growth sectors. But here we also remain cautious over higher domestic tax rates and increased political uncertainty. Unlike the ECB, the Bank of England is expected to cut rates further in 2026. But this is largely due to weakening expectations for economic growth over the coming quarters, which could ultimately act as a constraint on the home market later in the year.

Across international developed markets, our most constructive stance is on Japan which has been a global leader in 2026. Sustained positive inflation and corporate sector reforms to encourage more shareholder-friendly activity in the form of mergers, buybacks and higher payouts should remain sources of structural support. And particularly in the wake of the ruling party's lower house supermajority at recent parliamentary elections, growth expectations have risen on government pledges to suspend the consumption tax on food and implement a 21 trillion-yen investment program in 17 strategic domestic industries such as semiconductors, biotechnology, defense and clean energy. Latent investors' concern over the budgetary consequences of this fiscal expansion will bear watching. But so far the equity market has been able to shrug off the potential debt implications and government bond yields have in fact fallen in the weeks since the election, offsetting a portion of their 100 basis point rise over the prior 12 months. And though similar to developed European markets Japan is less directly concentrated in the extended growth sectors, it has a much higher degree of exposure to global AI infrastructure investment through manufacturing equipment, industrial chemicals and electrical components. We would therefore expect continuing strength in the local market beyond the near term.

For U.S. Equities, the recent volatility has echoed the DeepSeek episode of early 2025 when similar concerns over AI model competition from China unsettled the technology sector. We nonetheless still view the AI investment and deployment theme as fundamentally intact. Adoption trends are strong according to business survey data from the Census Bureau (Exhibit 2).

Exhibit 2: AI Adoption Rising Among U.S. Businesses.



Source: U.S. Census Bureau Business Trends and Outlook Survey. Data as of January 2026. Q4 2025 Data break resulting from government shutdown.

Earnings results from the technology majors have generally been robust, both in terms of capital spending plans and profitability. And on current consensus, the IT sector is still expected to deliver the strongest earnings growth within the S&P 500 for full-year 2026. The upshot is that we still expect Growth sectors to perform well and maintain our favorable stance on U.S. Equities. But on the back of strength in cyclical conditions globally and alongside local policy supports; we also see selective opportunities across Value sectors and non-U.S. markets in the current environment.

THOUGHT OF THE WEEK

A Bull Market in Hard Power

Lauren Sanfilippo, Director and Senior Investment Strategist

This week marks the four-year anniversary of the Ukraine-Russia war, with little prospect of peace on the horizon based on the lack of progress in Geneva last week. Meanwhile, the U.S. military continues its massive buildup in both the Middle East and the Western hemisphere. Over in Asia, a regional arms race is underway as countries like Japan, South Korea and Taiwan prioritize defense spending in the face of China's rapid military modernization plans. As we have highlighted in the past, the world has entered an era of Great Power Rivalry. We live in a world where might makes right, which underpins our key theme: global defense and cybersecurity.

That begins to explain why defense budgets globally are rising at one of the fastest clips in decades. In fact, spending on defense globally has never been higher, reaching a record high of $2.7 trillion in 2024, the last year of data. The U.S., long the largest defense spender, has its sights set on building a "Dream Military," with a $1.5 trillion budget proposal. Already, the U.S. spends more on defense than the next nine countries combined (Exhibit 3A).

Under U.S. pressure, most North Atlantic Treaty Organization members have pledged to raise core military budgets to 3.5% of gross domestic product by 2035 on troops and weapons, with another 1.5% on defense-related items like critical infrastructure and cybersecurity. In coordination with those rising targets, the EU's revised Stability and Growth Pact allows member states to exceed deficit limits.

Order books and factory orders have been influenced: Germany's defense related factory orders unexpectedly surged over the final three months of 2025, driven by strong demand for heavy machinery, weapons systems and advanced electronics. Reflecting this momentum, Germany's largest arms manufacturer has seen its share price more than double over the past year.

Performance of aerospace and defense proxies has followed, with impressive runs since the start of the Russia-Ukraine war (Exhibit 3B). Impressively, stocks within the STOXX European Defense Index are up 14% year-to-date (YTD), led by gains in a drone manufacturer and a shipbuilder. U.S. aerospace and defense names have also advanced, rising more than 12% so far this year, closely followed by an Asia Pacific defense aggregate, which is up 11% YTD.

And so, global defense spending on armaments, rearmament and advanced military technologies is in an upcycle, supported by shifting geopolitics and expanding national budgets. At the same time, demand is accelerating for next generation capabilities ranging from cybersecurity solutions to unmanned systems, AI enabled defense architectures, hypersonic technologies and satellite networks.

Portfolio Considerations

As wars grind on, the world is rearming. Defense spending targets pushing higher globally further supports the momentum the aerospace and defense industry has seen in recent years against a backdrop of unsettled geopolitics.

Exhibit 3: The Ramp Up: Defense Spending and Performance of Aerospace and Defense Since Russia's Invasion of Ukraine.

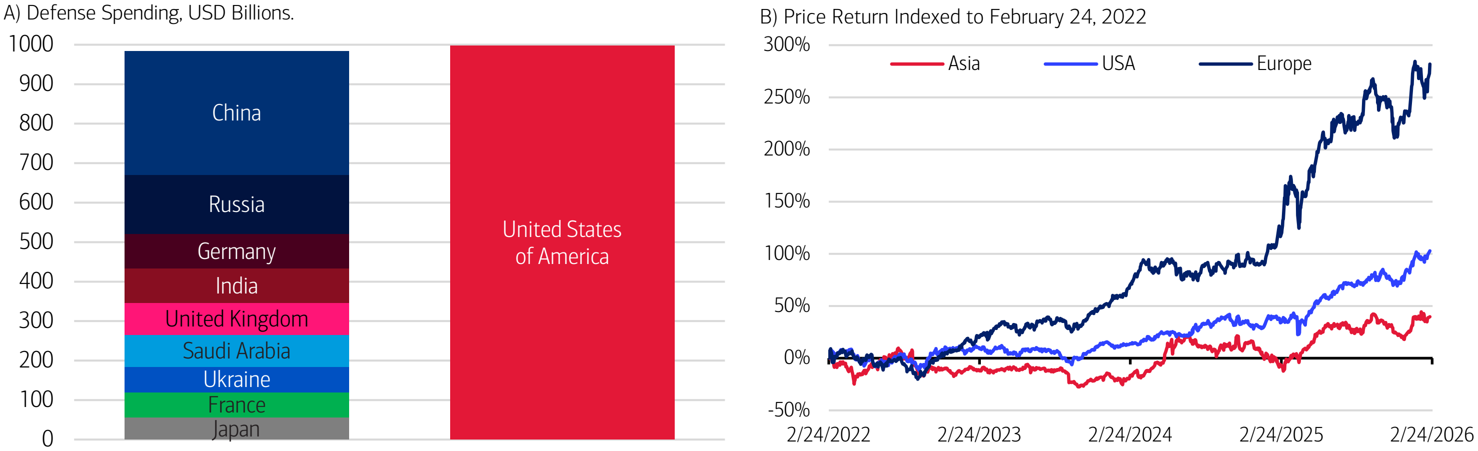


Exhibit 3A) Source: Stockholm International Peace Research Institute. Data refers to 2024, as of February 2026. Exhibit 3B) Source: Bloomberg Asia Pacific Aerospace/Defense Index, S&P 500 Aerospace & Defense Industry GICS Level 3 Index, and STOXX Europe Total Market Aerospace & Defense Index used. Source: Bloomberg. Data as of February 18, 2026. **Past performance is no guarantee of future results**. Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

MARKETS IN REVIEW

Asset Class Weightings (as of 2/3/2026)

Asset Class	CIO View / Underweight		Neutral	Overweight	
Global Equities	·	·	·	●	·
U.S. Large-cap Growth	·	·	·	●	·
U.S. Large-cap Value	·	·	·	●	·
U.S. Small-cap Growth	·	·	·	●	·
U.S. Small-cap Value	·	·	·	●	·
International Developed	·	●	·	·	·
Emerging Markets	·	·	·	●	·
Global Fixed Income	·	●	·	·	·
U.S. Governments	·	●	·	·	·
U.S. Mortgages	·	●	·	·	·
U.S. Corporates	·	●	·	·	·
International Fixed Income	·	●	·	·	·
High Yield	·	●	·	·	·
U.S. Investment-grade Tax Exempt	·	●	·	·	·
U.S. High Yield Tax Exempt	·	●	·	·	·
Alternative Investments*					
Hedge Strategies			●		
Private Equity			●		
Private Credit			●		
Real Assets			●		
Cash					

CIO Equity Sector Views

Sector	CIO View / Underweight		Neutral	Overweight	
Financials	·	·	·	·	●
Utilities	·	·	·	●	·
Consumer Discretionary	·	·	·	●	·
Industrials	·	·	·	●	·
Communication Services	·	·	●	·	·
Information Technology	·	·	●	·	·
Healthcare	·	·	●	·	·
Real Estate	·	●	·	·	·
Consumer Staples	·	●	·	·	·
Materials	·	●	·	·	·
Energy	●	·	·	·	·

*Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of February 3, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

Economic Forecasts (as of 2/20/2026)

	Q4 2025A	2025A	Q1 2026E	Q2 2026E	Q3 2026E	Q4 2026E	2026E
Real global GDP (% y/y annualized)	-	3.6*	-	-	-	-	3.5
Real U.S. GDP (% q/q annualized)	1.4*	2.2*	2.6	3.0	2.0	2.0	2.8
CPI inflation (% y/y)	2.7	2.7*	2.5	3.0	2.7	2.6	2.7
Core CPI inflation (% y/y)	2.7	2.9*	2.6	2.8	2.6	2.7	2.7
Unemployment rate (%)	4.5	4.3*	4.5	4.5	4.4	4.3	4.4
Fed funds rate, end period (%)	3.63	3.63	3.63	3.38	3.13	3.13	3.13

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.**

A = Actual. E/* = Estimate. Data as of February 20, 2026.

Sources: BofA Global Research; GWIM ISC as of February 20, 2026.

Equities

	Total Return in USD (%)			
	Current	WTD	MTD	YTD
DJIA	49,625.97	0.3	1.6	3.4
NASDAQ	22,886.07	1.5	-2.4	-1.5
S&P 500	6,909.51	1.1	-0.3	1.1
S&P 400 Mid Cap	3,606.95	1.2	5.0	9.3
Russell 2000	2,663.78	0.7	2.0	7.4
MSCI World	4,555.11	1.0	0.7	2.9
MSCI EAFE	3,141.50	0.9	3.3	8.7
MSCI Emerging Markets	1,567.23	0.8	2.6	11.7

Commodities & Currencies

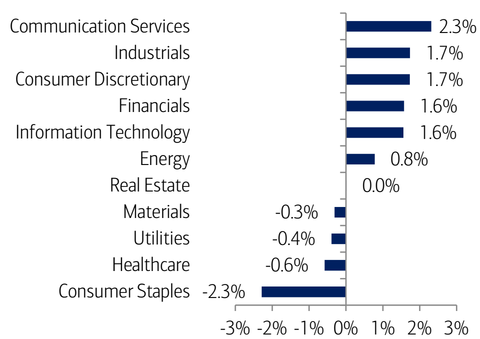
	Total Return in USD (%)			
Commodities	Current	WTD	MTD	YTD
Bloomberg Commodity	302.97	2.1	-0.6	9.7
WTI Crude $/Barrel††	66.39	5.6	1.8	15.6
Gold Spot $/Ounce††	5107.45	1.3	4.4	18.2

	Total Return in USD (%)			
Currencies	Current	Prior Week End	Prior Month End	2024 Year End
EUR/USD	1.18	1.19	1.19	1.17
USD/JPY	155.05	152.70	154.78	156.71
USD/CNH	6.90	6.90	6.96	6.98

Fixed Income†

	Total Return in USD (%)			
	Current	WTD	MTD	YTD
Corporate & Government	4.16	-0.07	1.11	1.11
Agencies	3.91	-0.03	0.69	0.81
Municipals	3.33	0.23	0.92	1.86
U.S. Investment-Grade Credit	4.24	-0.08	1.09	1.20
International	4.75	0.02	1.08	1.26
High Yield	6.56	0.18	0.41	0.92
90 Day Yield	3.67	3.67	3.65	3.63
2 Year Yield	3.48	3.41	3.52	3.47
10 Year Yield	4.08	4.05	4.24	4.17
30 Year Yield	4.72	4.69	4.87	4.84

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 2/17/2026 to 2/20/2026. †Bloomberg Barclays Indices. ††Spot price returns. All data as of the 2/20/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

MSCI U.S. Index is designed to measure the performance of the large and mid cap segments of the US market. With 544 constituents.

MSCI Emerging Markets Index captures large and mid cap representation across 24 Emerging Markets (EM) countries.

MSCI Japan Index is designed to measure the performance of the large and mid cap segments of the Japanese market.

MSCI United Kingdom (U.K.) Index is designed to measure the performance of the large and mid cap segments of the UK market.

MSCI Eurozone Index seeks to track the investment results of an index composed of large- and mid-capitalization equities from developed market countries that use the Euro as their official currency.

S&P 500 sub-sectors and industry groups Global Industry Classification Standard (GICS®)/S&P 500 Total Return Index, including Information Technology Total Return (TR) USD; Consumer Discretionary TR USD; Industrials TR USD; Real Estate TR USD; Communication Services TR USD; Materials TR USD; Financials TR USD; Consumer Staples TR USD; Utilities TR USD; Energy TR USD; Healthcare TR USD.

Bloomberg Asia Pacific Aerospace/Defense Index are designed to measure the performance of narrow GICS® sub-industries. The S&P Aerospace & Defense Select Industry Index comprises stocks from the S&P Total Market Index that are classified in the GICS Aerospace & Defense sub-industry.

S&P 500 Aerospace & Defense Industry GICS Level 3 Index comprises stocks from the S&P Total Market Index that are classified in the GICS Aerospace & Defense sub-industry.

STOXX Europe Total Market Aerospace & Defense Index tracks armament producers at a time of heightened geopolitical tension and a historic upgrade of the continent's military capabilities.

Important Disclosures

Investing involves risk, including the possible loss of principal. Past performance is no guarantee of future results.

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Asset allocation, diversification and rebalancing do not ensure a profit or protect against loss in declining markets.

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Nonfinancial assets, such as closely-held businesses, real estate, fine art, oil, gas and mineral properties, and timber, farm and ranch land, are complex in nature and involve risks including total loss of value. Special risk considerations include natural events (for example, earthquakes or fires), complex tax considerations, and lack of liquidity. Nonfinancial assets are not in the best interest of all investors. Always consult with your independent attorney, tax advisor, investment manager, and insurance agent for final recommendations and before changing or implementing any financial, tax, or estate planning strategy.